



2024 Annual Results

for the year ended 31 December 2024

see money differently

NEDBANK
GROUP



Agenda

Overview

Operating environment

Strategic review

Financial overview

Outlook

Jason Quinn

Chief Executive





2024 overview

Operating environment

- **Volatile & uncertain** – sociopolitical issues & election outcomes
- **Financial markets** – reflect cautious optimism, although rising concerns around the potential impact of US foreign policy
- **Structural reforms** – some green shoots in energy security, infrastructure projects announced, business confidence & corporate loan growth
- **Cyclical impacts** – the consumer is still under pressure & household loan growth muted. We expect a shallow declining interest rate cycle

Strategy

- **Strategy execution** (perform) – positive outcomes & heightened focus on execution
- **Strategy refresh** (transform) – identified exciting new opportunities that will support sustainable growth into the future

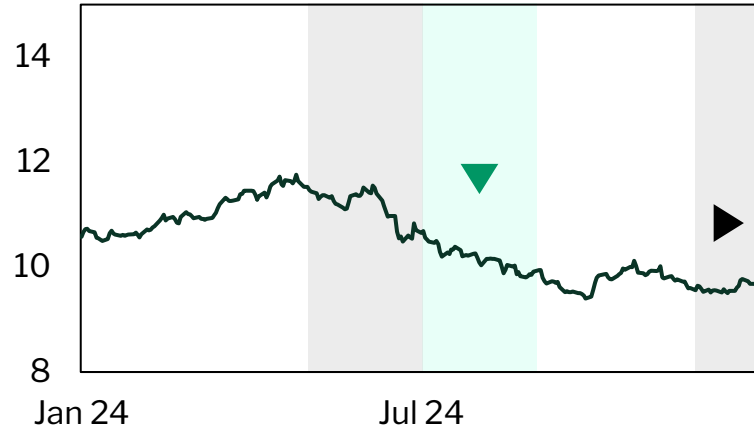
Financial performance

- **Improved financial performance** – DHEPS +11% & ROE up to 15,8%, supported by strong NIR growth, lower impairments & targeted expense management, offset by slow balance sheet & NII growth
- **Strong balance sheet** – enabling a final DPS of 1 104 cents, +8%

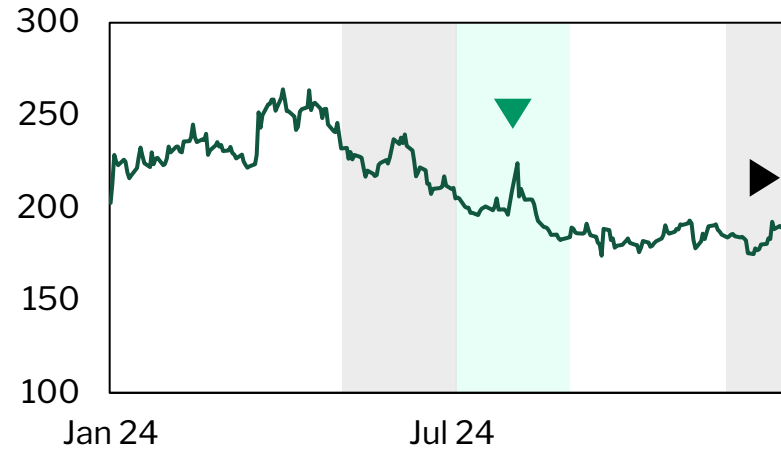


Operating environment – financial markets continue to reflect cautious optimism post the formation of the GNU, but US foreign policy poses risk

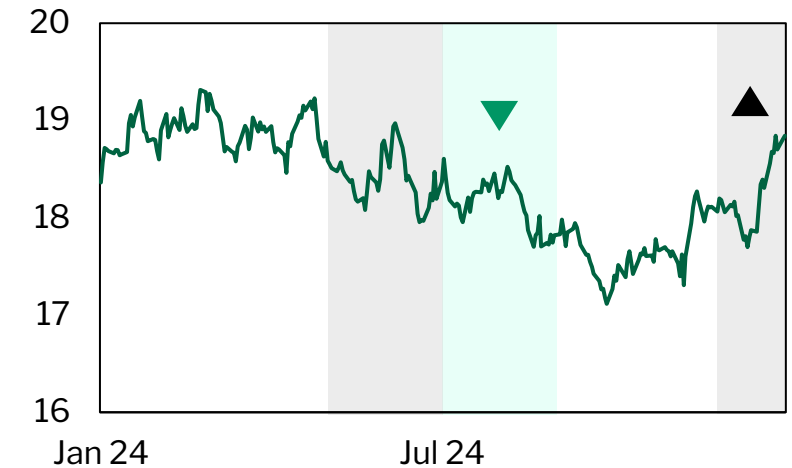
SA government bond yields (%)



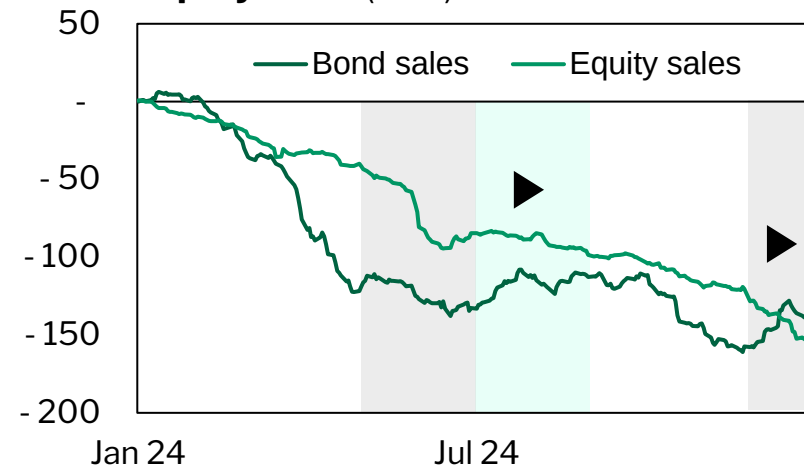
SA CDS spreads (bps)



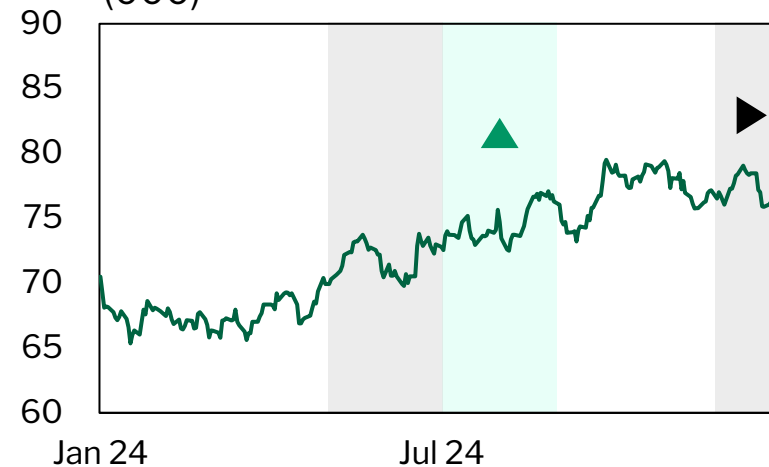
Rand vs US\$



Cumulative SA foreign bond & equity sales (Rbn)



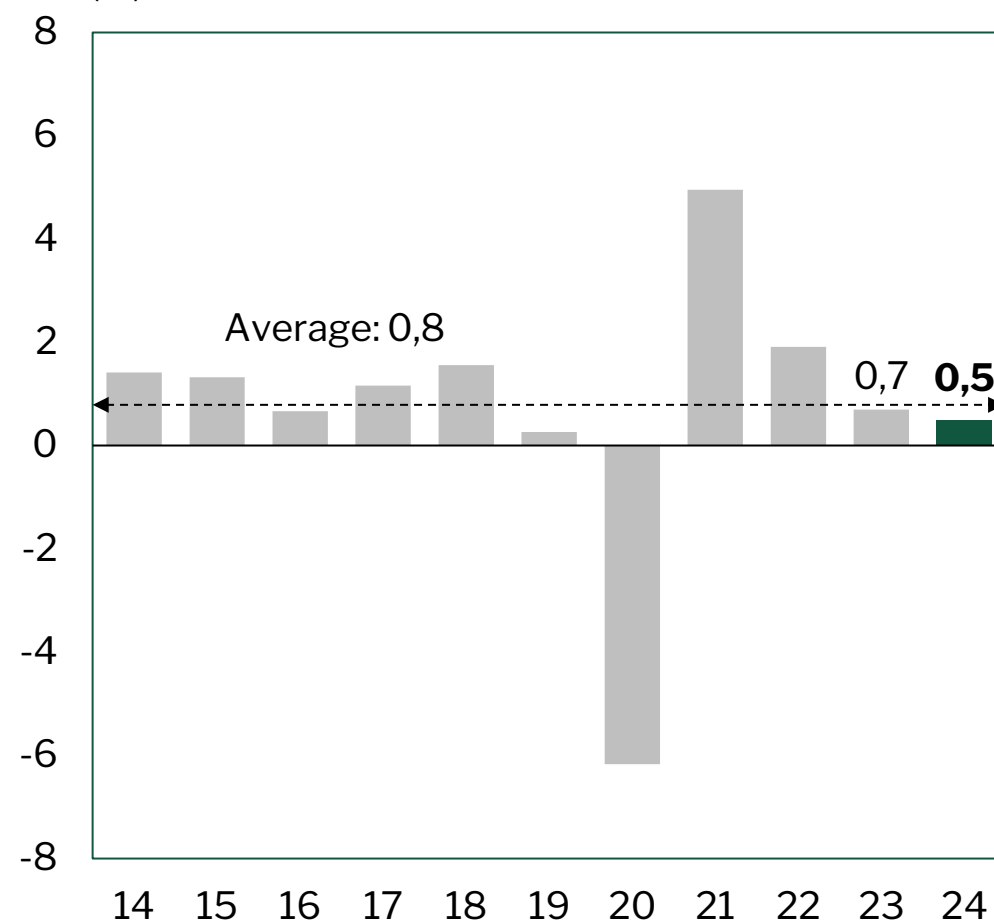
JSE Top 40 Index (000)



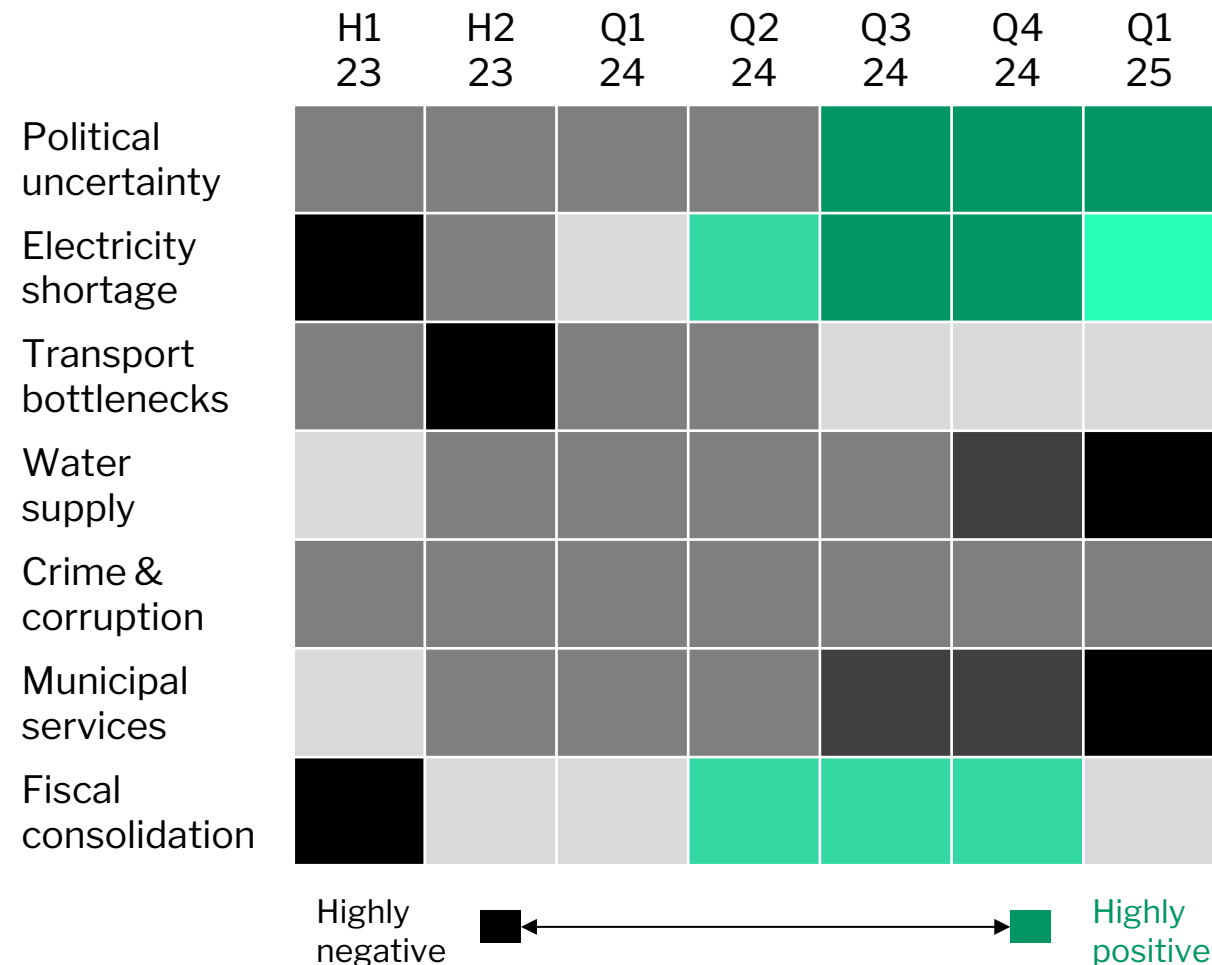


Operating environment – 2024 was another difficult year, with SA GDP growth of only 0,5% expected. Some green shoots given progress on structural reforms

SA GDP growth (%)



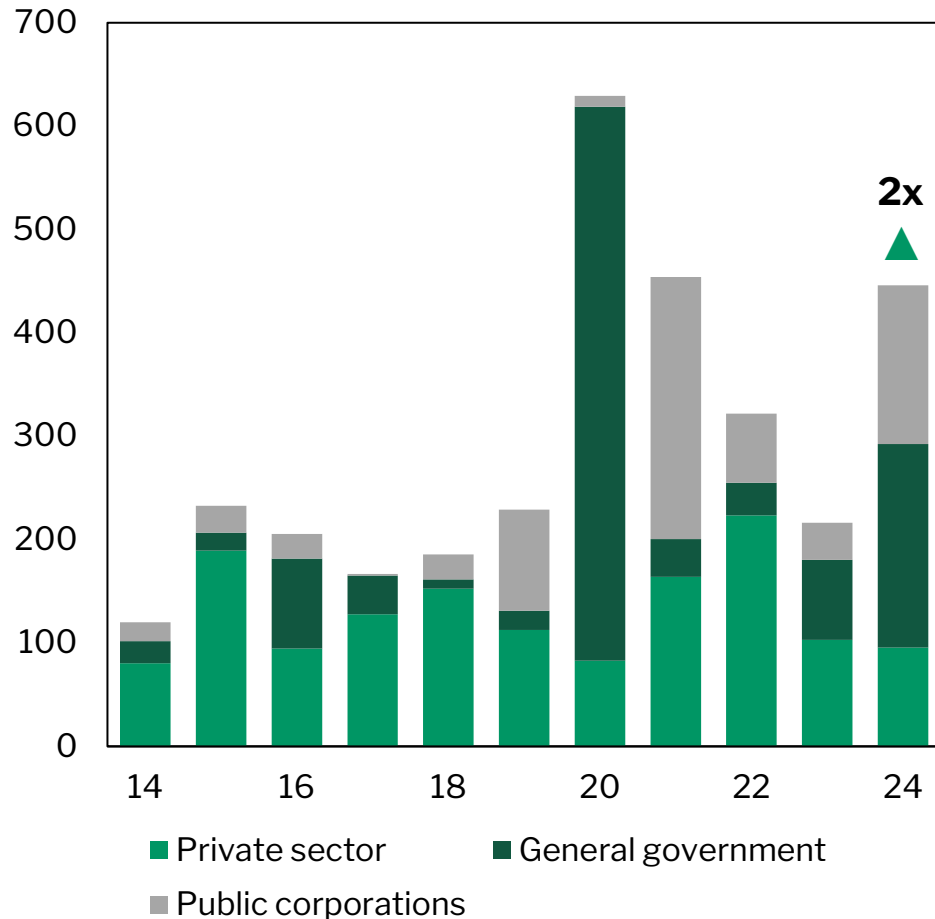
Progress on SA structural reforms¹



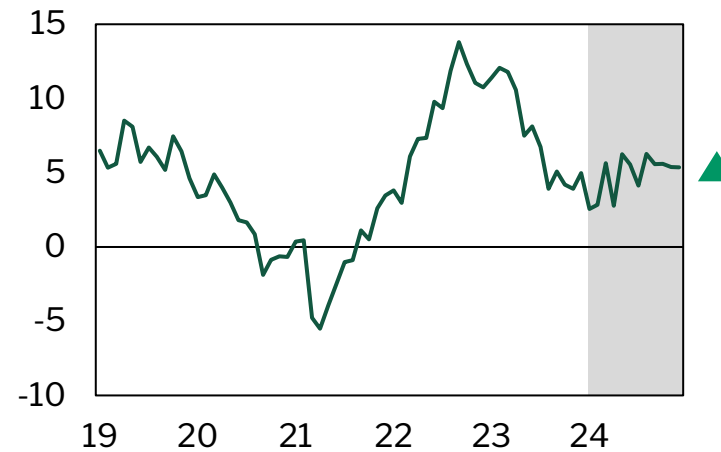
Operating environment – progress to unlock the large SA infrastructure opportunity has been slow, but business confidence & corporate credit growth are improving



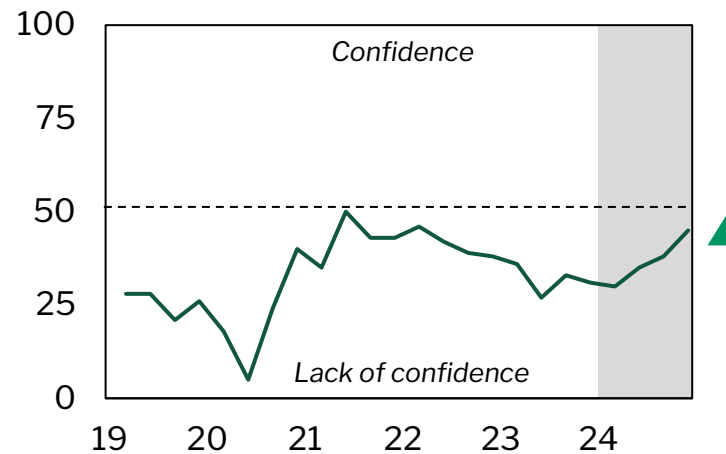
Nedbank Capital Investment Schedule¹
(Rbn, constant 2024 prices)



Corporate credit growth



Business confidence index



R943bn

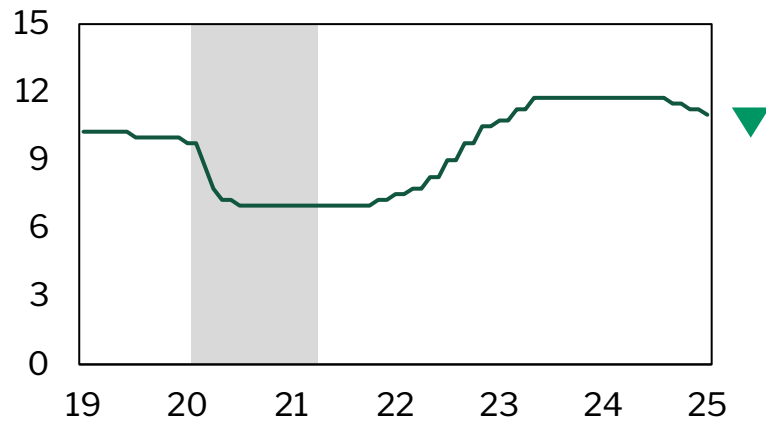
SA government infrastructure investment
over the next 3 years, prioritising projects that are candidates for public-private partnerships²

- **Energy** – REIPPP Round 7 & 8, BESS, private sector participation (PSP) in grid expansion, etc
- **Water** – NWRIA³ investment, water boards, PSP in water projects & public-private partnership (PPP) in water treatment
- **Transport** – SANRAL, Transnet, border post PPPs, rail & port PSPs
- **Other** – construction, cement & ICT infrastructure support

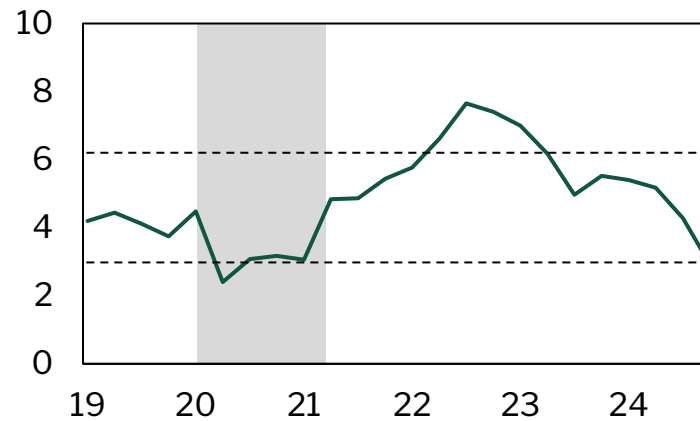
Operating environment – the consumer is still under pressure & household credit growth muted, but the environment has become more conducive for a recovery



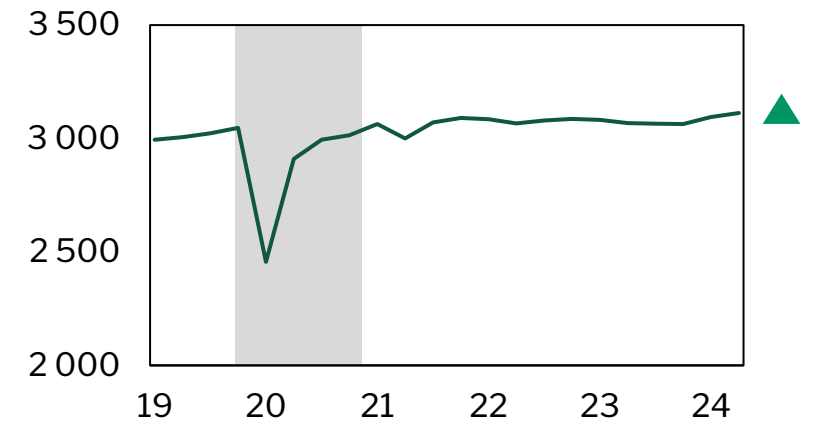
SA prime interest rate
(monthly, %)



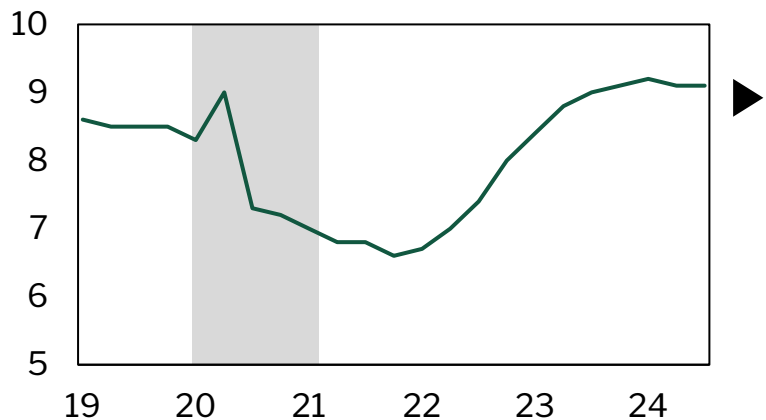
SA inflation
(monthly, %)



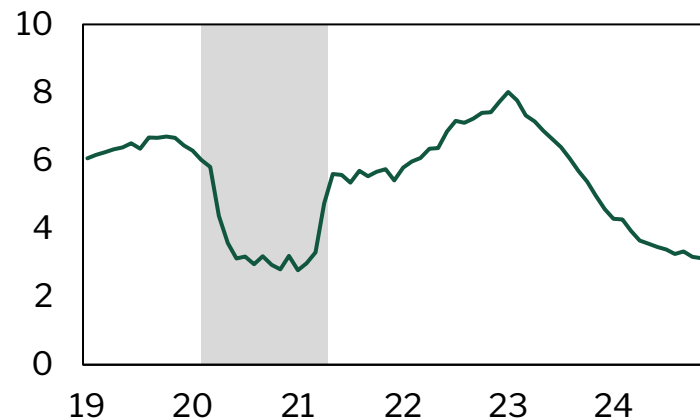
Real personal disposable income
(Rbn)



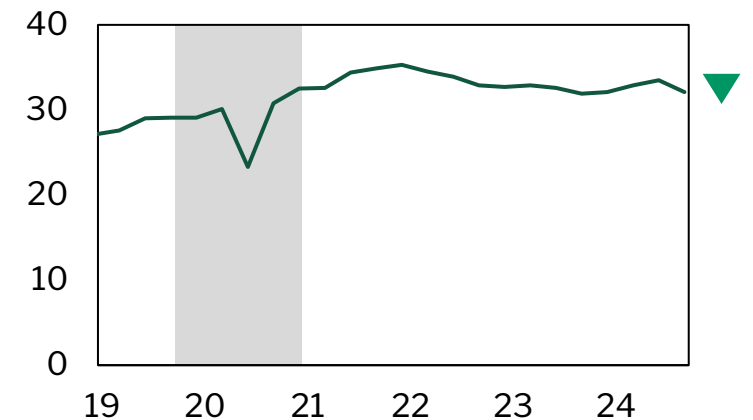
Household debt service costs
(quarterly, % of PDI)



Household credit growth
(annual, % yoy)



SA unemployment rate
(%)





Our strategy – focused execution (perform), while leveraging our strong foundations to grow (transform)

Our purpose

To use our financial expertise to do good for individuals, families, businesses & society

Strategic value drivers

 Growth	 Productivity	 Risk & Capital Management
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Strategic value unlocks

				
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Perform + Transform	Digital leadership (DX)	Market-leading client experiences (CX)	Focusing on areas that create value (SPT)	Growth vectors [NEW]	Creating positive impacts (Purpose delivery)
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	Our employees & differentiated corporate culture (EX)		
	Modern technology platform		



Strategic value drivers – focused on execution across the board

 Growth	 Productivity	 Risk & Capital Management
✗ Gross banking advances: +7% (average: +4%) ✓ Retail main-banked clients: +5% to 3,7m ✓ NAR clients: +14% to 0,4m ✓ CIB primary bank wins: 20 ✓ App volumes: +16% ✓ Eqstra acquisition	✓ Good collection outcomes in RBB & resolution of stage 3 loans in CIB ✓ TOM 2.0 concluded, with cumulative cost benefits of R3,0bn achieved ✓ Branch sales productivity (sales per employee) improved by 9% ✗ Cost-to-income ratio: 55,9%	Fortress balance sheet ✓ CET1 ratio: 13,3% (11% to 12% target range) ✓ LCR: 135% (100% reg min) ✓ NSFR: 116% (100% reg min) Credit ✓ CLR down to 87 bps, well within target range (60 bps to 100 bps TTC) ✓ ECL coverage: 3,32% (2019: 2,31%)



Need more
information?

TAKE ONE

Strategic overview

Mfundo Nkuhlu
Chief Operating Officer



Our strategy

Our purpose

To use our financial expertise to do good for individuals, families, businesses & society

Strategic value drivers



Growth



Productivity



Risk &
Capital Management

Strategic value unlocks



Digital
leadership
(DX)



Market-leading
client experiences
(CX)



Focusing on areas
that create value
(SPT)



Growth
vectors
[NEW]



Creating
positive impacts
(Purpose delivery)

Perform

+

Transform



Our employees & differentiated corporate culture (EX)

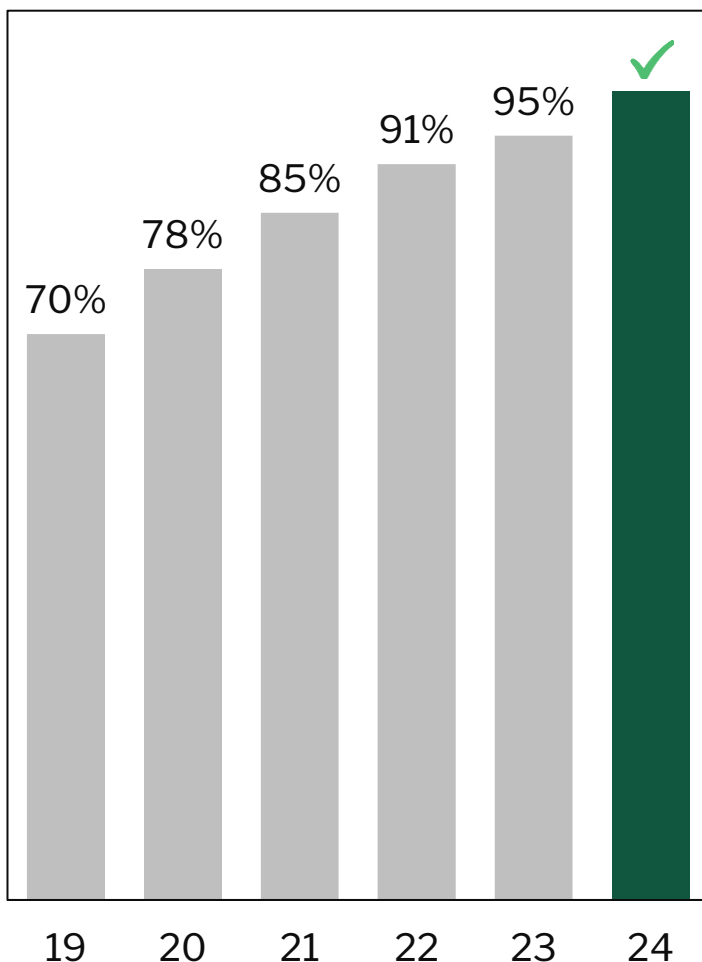
Modern technology platform





Modern technology platform – Managed Evolution IT build completed (fundamentally within scope, time & budget)

Managed Evolution completion



Core banking	✓	Modernised our transactional product, lending & deposit systems
Strategic payments	✓	Modernised our payment engine (domestic & global), incorporated basic value-added services (eg electricity), etc
Data	✓	Implemented a single data store, enhanced regulatory reporting, AI, robotics process automation
Client systems	✓	Digitised our top 10 individual product journeys, self- & staff-assisted client service capabilities, & enhanced AML
Foundations	✓	Implemented foundational capabilities* to build future tech – ERP, Client 360, SOA, ECM, BPM, Agile, Security

Total ME programme spend
R11,7bn

Core to bank systems
250 → < 60

Processing
Batch → 24/7 real time

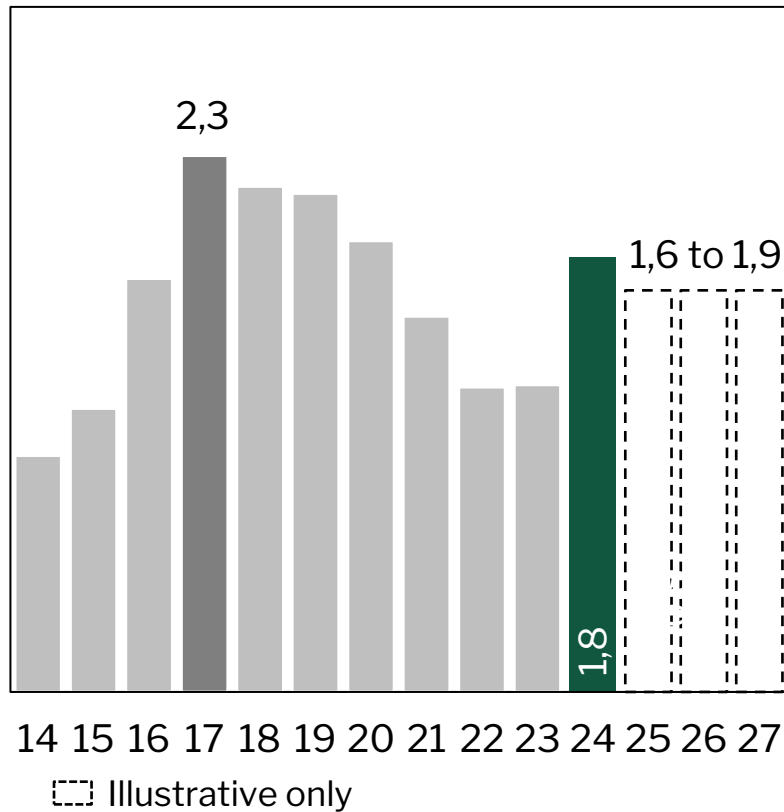
Systems uptime
99,8%
(2023: 99,6%)



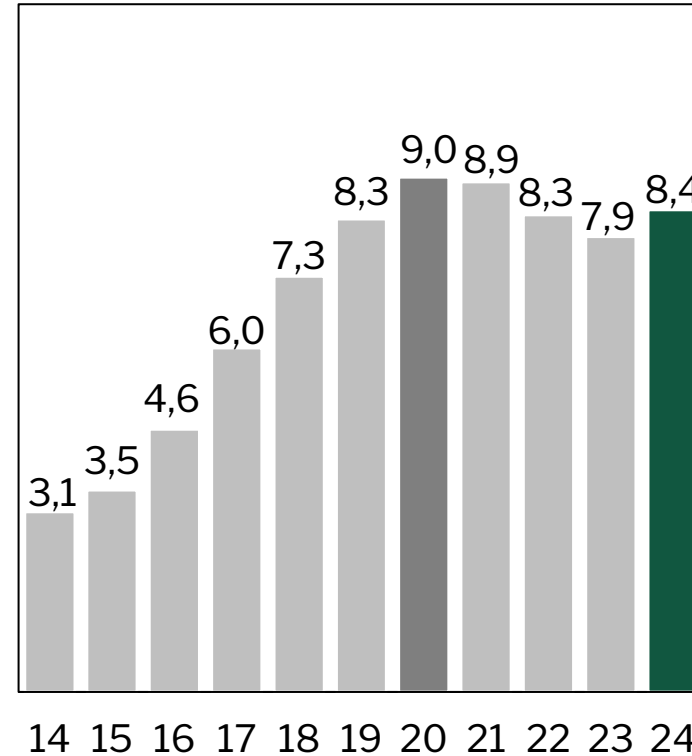
Additional info

Managed Evolution IT build programme – cash flow spend peaked in 2017 at R2,3bn & intangible software assets peaked in 2020 at R9bn, while benefits are being realised according to plan

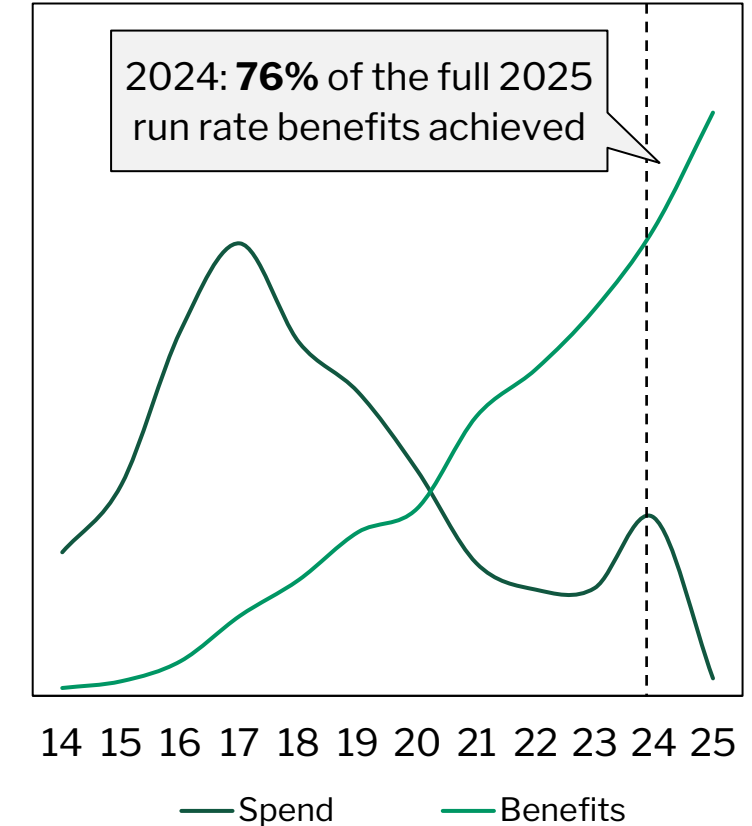
IT software development spend
(Rbn annual cash flow)



Intangible software assets on the balance sheet (Rbn)



Investment vs benefit realisation to date (%)



Digital leadership – ongoing benefits from our ME technology investment while unlocking new productivity & commercial opportunities



Perform

Client onboarding

Fully digital

Seamless FICA-compliant onboarding of individual & juristic clients

Digital product sales

▲ 64%

% of new sales
(2020: 28%)
Target: >75%

TOM 1 & 2 savings cumulatively

R5bn

(since 2020)

Digital servicing

> 200

Individual services on Eclipse & Money app

> 400

Juristic services on Nedbank Business Hub

Enhanced client experiences

#1

NPS

(2020: #2)

Target: #1 among large SA banks (all clients)

Product optimisation

Transactional

Investment

Lending

▼ 60%

▼ 80%

To be determined

Planned reduction in # of products

Transform

Leverage artificial intelligence

- **Intelligent Hyper Automation (NIHA)** – harnessing the power of AI, GenAI, machine learning & robotics to drive innovation & sustainable value creation
- **Digi 2.0** – revolutionise our app to create leading next generation, hyper-personalised contextual experiences
- **Benefits** – improve CX, increase revenues, streamline work processes & optimise costs



Data commercialisation

- **Dedicated data & analytics team**
- **>50 AI use cases** across credit scoring, cross- & up-sell, fraud analytics, digital marketing, etc
- **Benefits:** increase in revenue, lower costs & impairments

Harmonisation

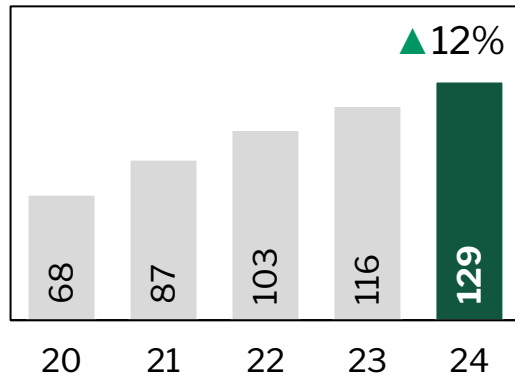
- **NAR** system convergence



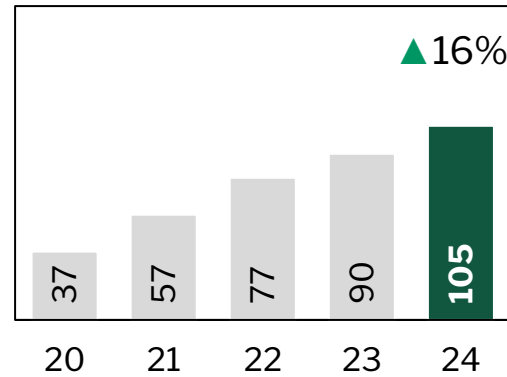
Digital leadership – digital activity & usage continue to grow strongly, while increasingly differentiating Nedbank in the market

Additional info

Digital transaction volumes (# m)

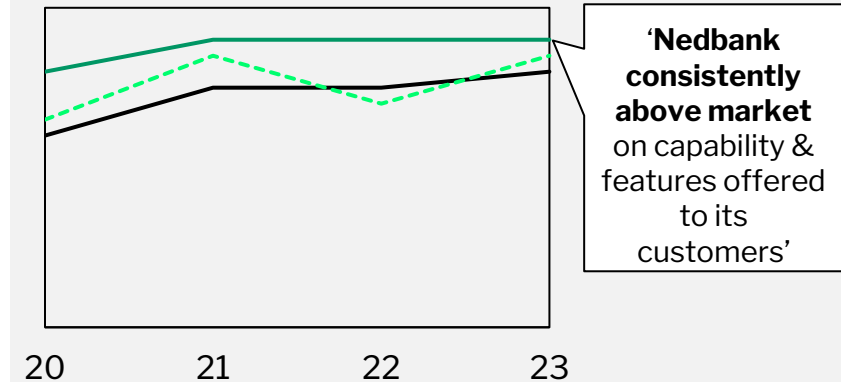


App transaction volumes (# m)

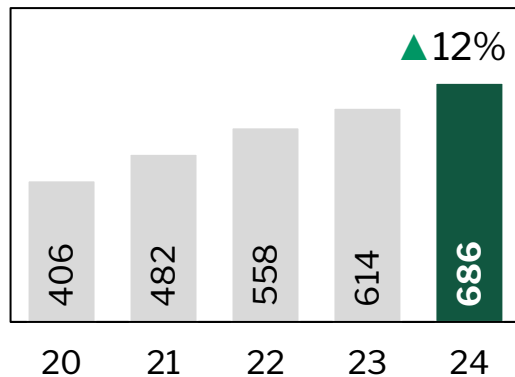


Capability

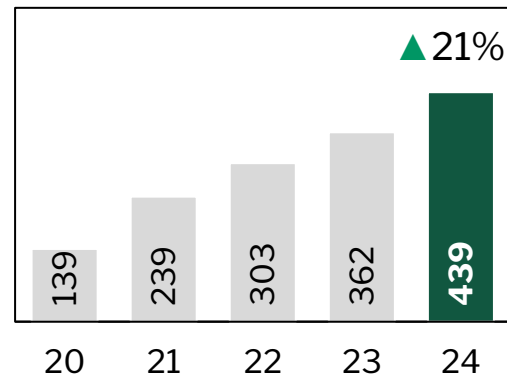
Servicing features offered (%)



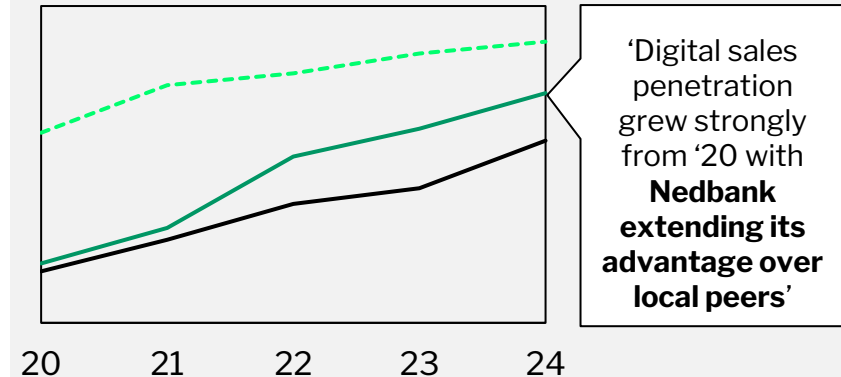
Digital transaction values (Rbn)



App transaction values (Rbn)



Digital sales contribution (%)



— Nedbank — SA average — Mobile leaders average



Growth vectors – as part of our strategy refresh we identified various growth initiatives that will deliver incremental benefits in the medium-to-long-term

Transform

Insurance cross-sell

- **Grow & cross-sell our insurance products** (both traditional bancassurance & new solutions such as the MyCover suite) into the Nedbank client base, by improving client penetration from around 19% to >30% & thereby growing gross earned premiums (GEP) by more than 50% in the medium term.

GEP growth
>50%

Portfolio diversification

- **Grow our presence in East Africa through a CIB-led approach** by deepening our sector-led coverage of priority countries & investing in product capabilities. Grow the contribution in CIB from around 15% to >20% over the medium term. In addition, we will explore inorganic growth opportunities that play to our strengths & can contribute to our strategic intent.
- **Mid-Corp** – dedicated new offering to transform how mid-sized corporates access financial solutions with financial advisory & sector-specific expertise.

CIB Africa
GOI
>20%

Other (examples)

- **Leverage our modern technology platform** – including Nedbank Intelligent Hyper Automation (NIHA), data commercialisation & Martech (embed data-driven marketing & scale individual client offers).
- **Payment modernisation** – create a fully interoperable enterprise payment service hub that optimises the cost to serve, increase innovation cadence, respond to open-finance opportunities & unlock competitive advantage.



Strategic portfolio tilt – profitable market share gains in areas that create value

BA900 market share (%)	Dec 23	Dec 24	Yoy change
Total core loans	18,8	19,2	▲
Wholesale term loans	16,0	16,2	▲
Commercial mortgages	36,0	35,9	▶
Home loans	14,4	14,7	▲
Retail vehicle finance	35,1	35,9	▲
Retail overdraft	15,1	14,4	▼
Personal loans	11,0	10,1	▼
Credit card	10,0	9,2	▼
Retail deposits	16,4	16,8	▲
Commercial deposits	15,8	15,4	▼

Perform

- **Leverage our strengths** – energy, infrastructure, mining & resources, commercial mortgages & vehicle finance (MFC)
- **Turnaround in retail lending market share losses** – gains in home loans
- **Prudent credit granting** – in personal loans in a difficult macroeconomic environment
- **Turnaround in deposit market share losses** – consistent gains in retail deposits

Transform

- **Scale retail lending market share** – home loans, personal loans, overdrafts & card to >16% over time
- **Focus on growing transactional deposits** through enhanced cross-sell & client primacy
- **Leverage our strengths in CIB** – to accelerate growth in East Africa & in key sectors
- Build out the **Corporate Transactional Banking franchise**

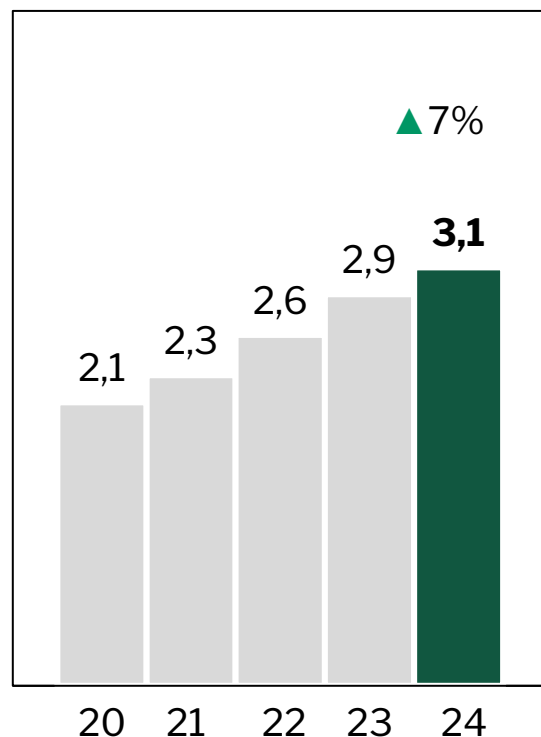
Total core loans include retail & corporate loans, excluding foreign currency loans, resale agreements, interbank & preference shares. | Retail deposits, a common lens used in the industry, is the sum of BA900 lines 26, 27, 28 & 35.



Additional info

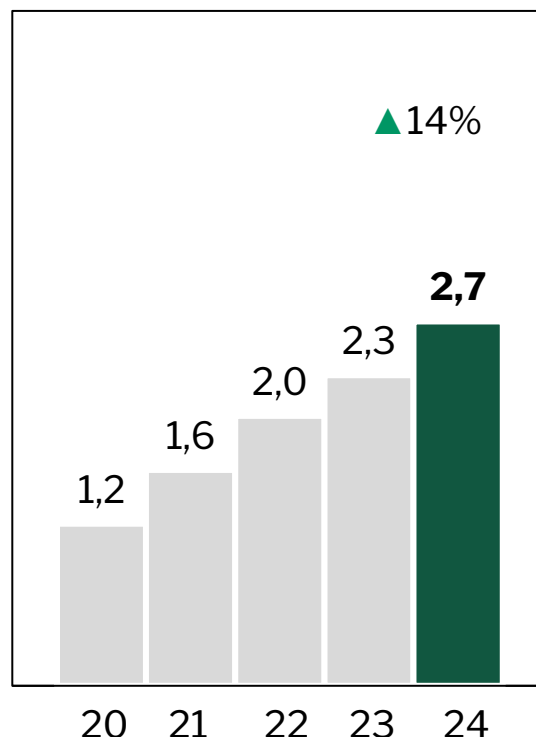
Strategic portfolio tilt – leveraging digital penetration to build stronger franchises, grow main-banked clients & achieve higher levels of cross-sell

Retail digitally active clients (# million)



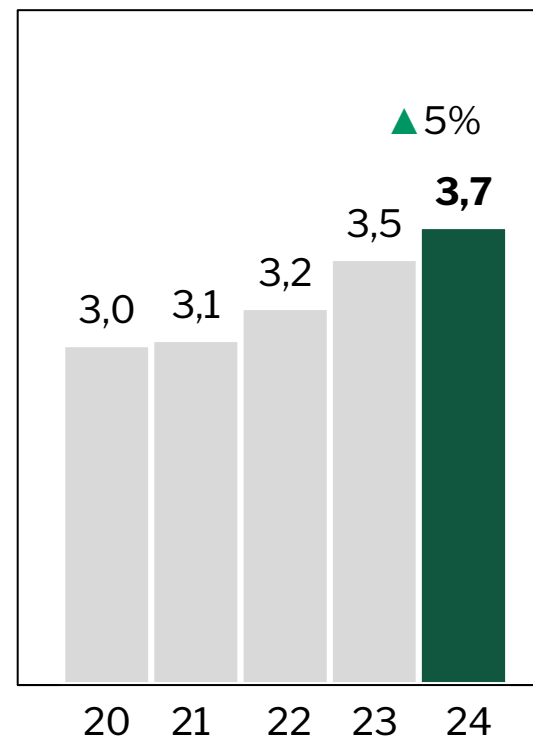
Nedbank Africa
Regions: 0,15 **0,19** ▲ 22%

Retail Money app active users (# million)



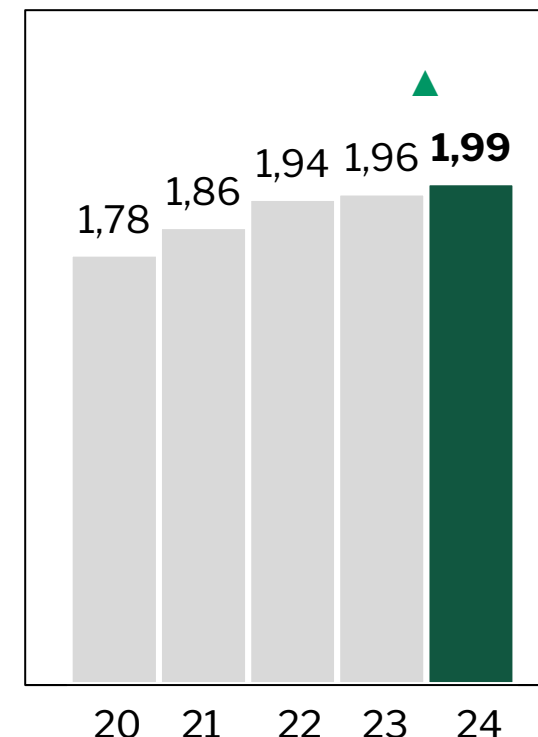
0,12 **0,14** ▲ 21%

Retail main-banked clients (# million)



0,15 **0,17** ▲ 14%

Retail cross-sell ratio
(# of retail products/client)



1,37 **1,46** ▲ 1%



Main-banked growth sustained across segments

Additional info

Main-banked clients¹, # 000



¹ Definition of main-banked: Clients who achieved a minimum deposit or a number of quality transactions on average per month over 3 months. Consumer: Non-individuals; RRB: Non-resident & Embassy Banking not shown. | ² Client groups with gross operating income contributions in excess of R500 pm. | ³ 2023 numbers in Private Clients, SBS & Commercial Banking have been restated to account for client migrations that took place in 2024.

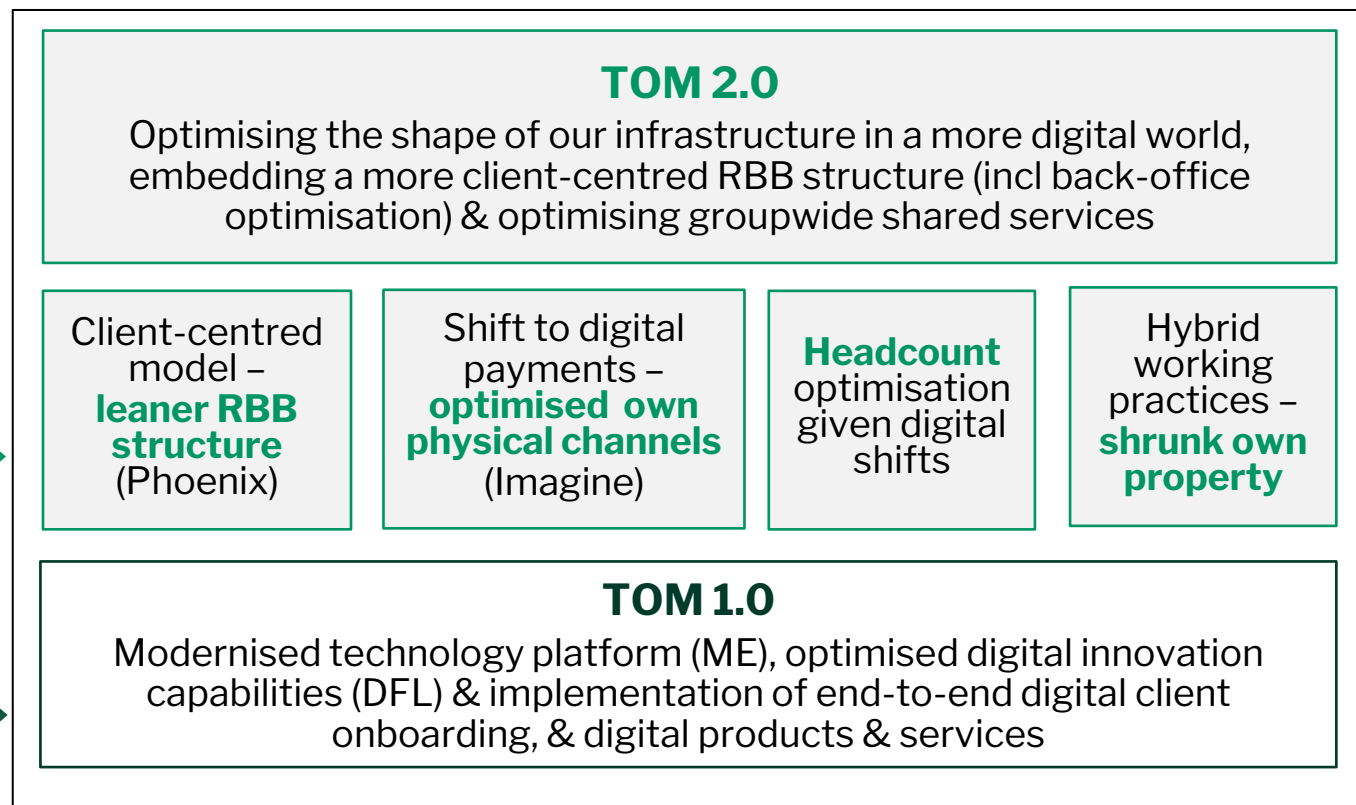
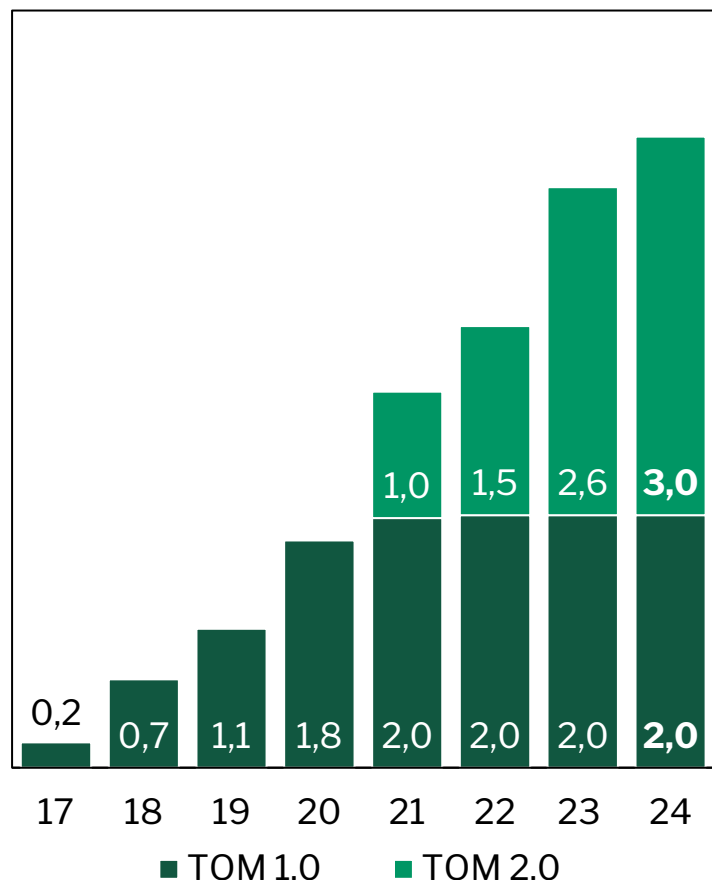


Additional info

Target operating model – programme concluded at the end of 2024, with a focus on productivity, real estate optimisation & efficient back offices. Benefits from automation will continue

Cumulative TOM benefits

(Rbn)



Productivity gains – we continue to unlock productivity gains through Project Imagine branch design. Service employees now contribute 23% of sales (from 0%)



Additional info

2023 Finalta survey¹ (yoy change)

Sales per 1k active clients ▲ **33%**

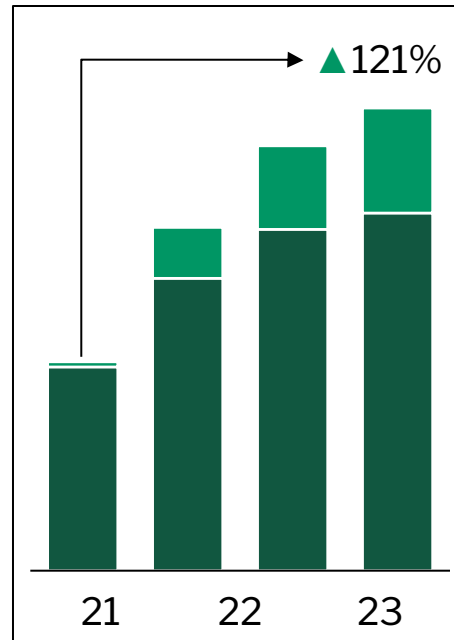
Branch sales per branch FTE ▲ **62%**

Branches per active 10k clients ▲ **1%**

Branch FTE per 10k active clients ▼ **0%**

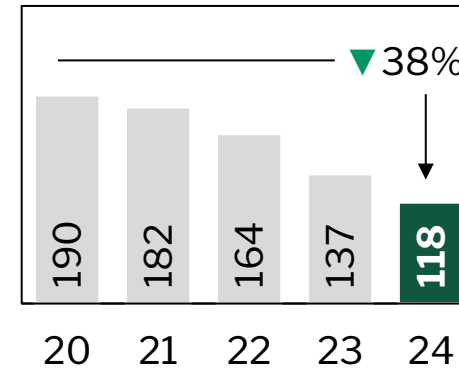
¹ Global survey conducted by McKinsey – 2023 v 2022.

Branch employee sales (Sales/role/day)

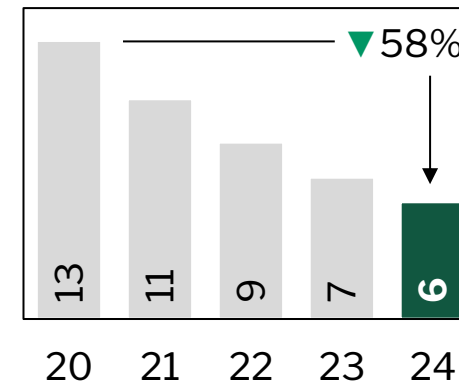


■ Service employees
■ Sales employees

Branch floor space (sqm metres)



Teller activity (# million)



Imagine branch conversions (% of total)

▲ **92%**

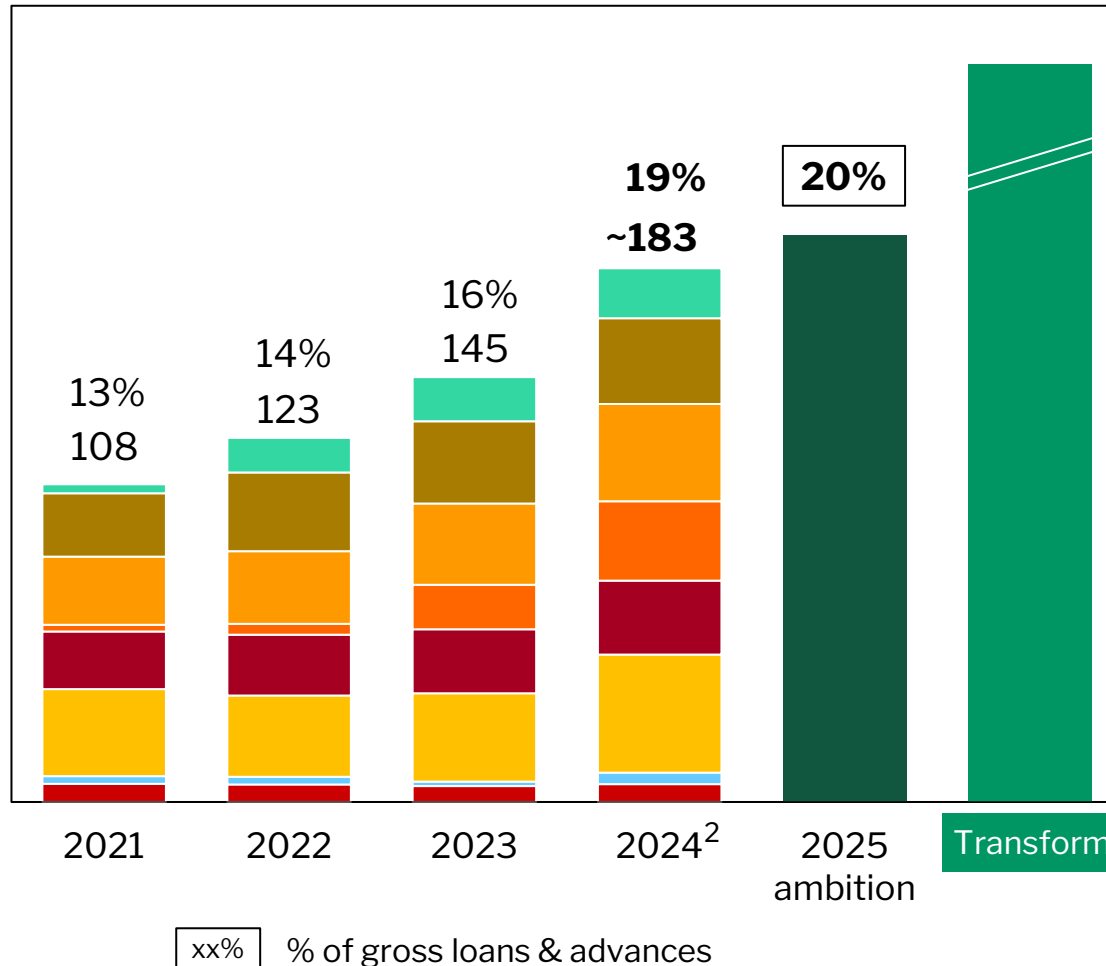
(2023: 71%)





Creating positive impacts – ~R183bn sustainable development finance (SDF)

Sustainable development finance exposures¹ (Rbn)



R33bn for green certified buildings & affordable home loans



R29bn support for farmers & the agriculture sector



R17bn sustainable finance across multiple SDGs (CIB clients)



R4bn financing for clean water & sanitation



R40bn total renewable energy exposures



R25bn lending exposure to small businesses & their owners

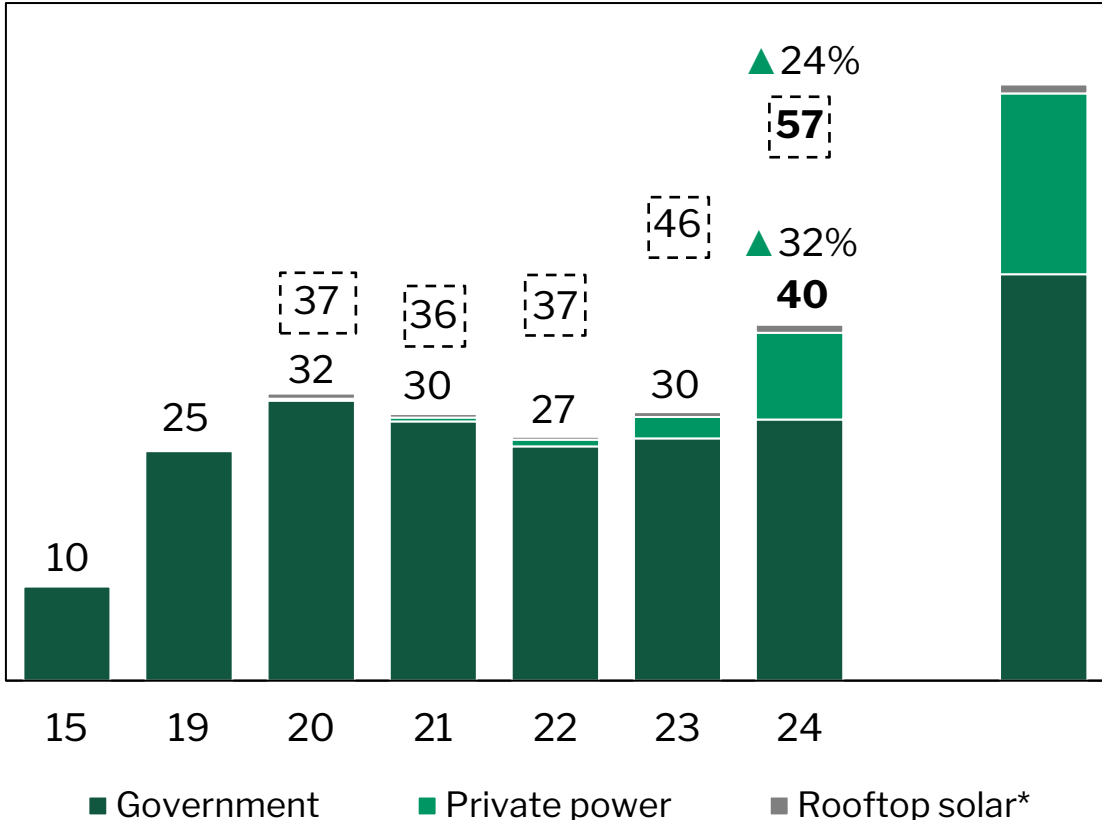
¹ By the end of 2025, it is our ambition to have increased our SDF exposures to around 20% of the group's total gross loans & advances, achieved through support of more than R150bn in new SDF that is aligned with the SDGs (from our 2021 base). ² SDF in 2024 includes R10bn of infrastructure finance (SDG 9) that meets the SDG criteria & was not included in prior years.



Creating positive impacts – building on our leadership in renewable energy: exposures up by +32% to almost R40bn & significant new business wins

Renewable energy financing

(■ drawn exposures, □ limits, Rbn)



Nedbank has supported **4,8 GW** of REIPPPP & private power projects to date

R30bn in awarded facilities¹

- Strong activity** in 2024 with **12** private power generation deals closed (1,4 GW)
- Good pipeline** of deals & **cross-sell** will support book growth over the medium-term
- Government pipeline**
- Mandated lead arranger for **7/8** projects awarded under REIPPPP Round 7 (1,5 GW solar)
 - Mandated lead arranger for **7/8** projects awarded under BESS Round 2 (0,5 GW)

Project pipeline	Mandated	Closing in 2025	Awarded value
REIPPPP R7	7 (1,5 GW)	7 (1,5 GW)	R15bn
BESS R2	7 (0,5 GW)	7 (0,5 GW)	R6bn
Private generation	8 (1 GW)	8 (1 GW)	R9bn

¹ Some renewable energy financing could be distributed. In 2024 we distributed R1,95bn of renewable lending to a broad institutional base. Cumulative energy risk distribution to date totalled ~R8,8bn.

Creating positive impacts – ESG highlights & ratings



2030 finance emission targets set (thermal coal ▼47%, oil & gas ▼26% & power generation cap: 165gCO ₂ e/kWh)	Nature Position Statement published (1st SA bank)		Inaugural Climate Position Statement published for our asset management business
83% ACI representation (78% in 2019, 82% in 2023)	African senior & middle management representation ▲4% (vs 2023)	Deposit insurance implemented (>R100bn covered deposits)	
	>3 500 unemployed youth (YES) recruited (> 13 500 since 2019)	2024 Euromoney Awards – World's Best Bank for Diversity & Inclusion	Cash taxation payments¹ of R15bn up by 14%

Independent ESG ratings of Nedbank

MSCI	AAA	Top 9% of global banks
	14,4	Top 8% of diversified banks
S&P Global	63	Top 10% of global banks
ISS ESG	C	Top 10% of all global banks
		Top 26% of global banks

¹ Tax payments relate to direct, indirect & employee taxes, as well as other taxation.

External recognition received in 2024 – across business excellence, technology & innovation and purpose & ESG



Additional info

2024 The Banker Magazine Bank of the Year Award for South Africa (winner)	2024 Global Banking & Finance Review Best SME Bank (South Africa) (winner)	2024 City of London Wealth Management Awards Best Private Bank in the UK (winner)	2024 Euromoney Awards Best Digital Bank Africa & SA (winner)	2024 Global Banking & Finance Review Best Bank for Sustainable Development (South Africa) (winner)	2024 Global Finance Magazine Awards Best Bank for Sustainable Finance (South Africa) (winner)
2024 Global Banking & Finance Review Best Sub-Custodian Bank (South Africa) (winner)	2024 Global Banking & Finance Review Best Retail Bank (South Africa) (winner)	2024 Kruthum Top Private Banks and Wealth Managers Survey People's Choice Private Bank Top Private Bank (2nd place)	2024 Digital Banker Africa Awards Best Digital Bank South Africa (winner)	2024 EY Excellence in Integrated Reporting Awards Top 100 JSE-listed companies (overall winner)	2024 Environmental Finance Best Financial Inclusion Services Provider in SA (winner)
2024 Global Banking & Finance Review Best Investment Bank (South Africa) (winner)	2024 The Digital Banker Awards Best Bank for Transaction Banking Services (Africa & SA) (winner)	2024 Bonds, Loans and ESG Capital Markets Africa Awards Corporate Bond Deal of the Year (joint winner)	2024 Global Banking & Finance Review Best Digital Bank Mozambique (winner)	2024 Black Business Awards Transformation Champion Award (winner)	2024 Forbes World's Best Employers Best Employer South Africa (2nd place)
2024 Bonds, Loans and ESG Capital Markets Africa Awards Power Finance Deal of the Year (joint winner)	2024 Forrester Awards Customer-Obsessed Enterprise Award (EMEA) (winner)	2024 Morningstar Awards Best Flexible Fund (winner)	2024 The Asian Banker MEA Awards Best Growth Strategy and Digital Banking in MEA (winner)	2024 Global Finance Magazine Awards Best Bank for Green Bonds (Africa) (winner)	2024 Euromoney Awards The World's Best Bank For Diversity and Inclusion (winner)

■ Business-impact- & expertise-related

■ Technology- & innovation-related

■ Purpose- & ESG-related



#WeAreNedbank

Financial overview

Mike Davis
Chief Financial Officer

Key drivers – the negative impacts of a difficult & volatile operating environment in 2024, offset by good strategic delivery



Operating environment					Strategic delivery	
	H1	H2		H1	H2	2024
Global geopolitical environment	▲	▲	SA household credit growth	▼	▼	▲
SA political & social environment	▲	▶	SA corporate confidence/credit growth	▶	▲	▲ ▼
SA economic activity	▼	▶	Currency (rand)	▲	▼	▶
SA inflation	▼	▼	Competition	▲	▲	▶
SA interest rates	▶	▼	Regulation	▶	▶	▲
						Technology/ Digital (DX)
						Cross-sell, main- banked client gains/ market share (SPT)
						Client experiences
						Efficient execution/ productivity
						Creating positive impacts

Improved financial performance & steady progress towards higher ROEs, while maintaining a strong balance sheet



▲ **8%**

R16,9bn

Headline
earnings

15,8%

(23: 15,1%)

ROE

▲ **7%**

R944bn

Gross banking
advances

13,3%

(23: 13,5%)

CET1 ratio

135%

(Q4 23: 135%)

LCR

▲ **11%**

3 538 cents

DHEPS

▼ **87 bps**

(23: 109 bps)

CLR

▲ **8%**

R1 175bn

Deposits

▲ **10%**

2 075 cents

Full-year dividend
per share

116%

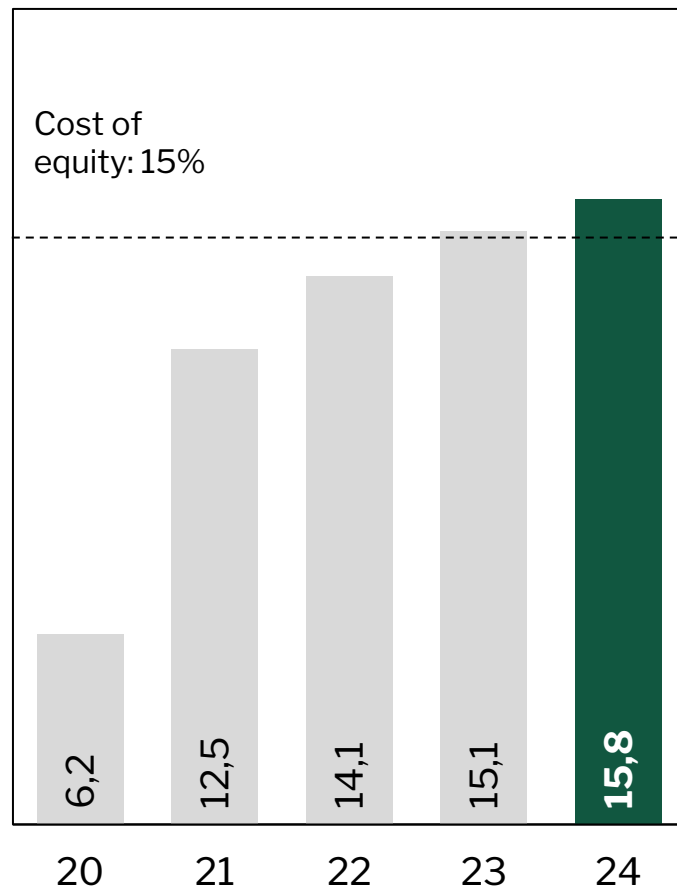
(Dec 23: 117%)

NSFR

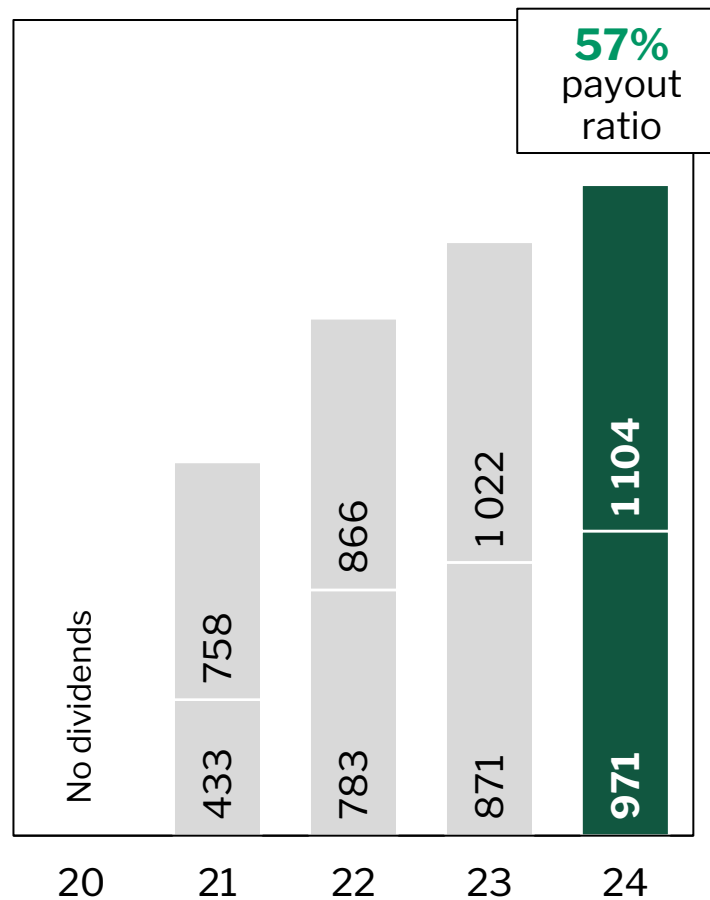
Shareholder value creation – continued improvement in ROE, supporting a final 2024 dividend at the top of our payout ratio



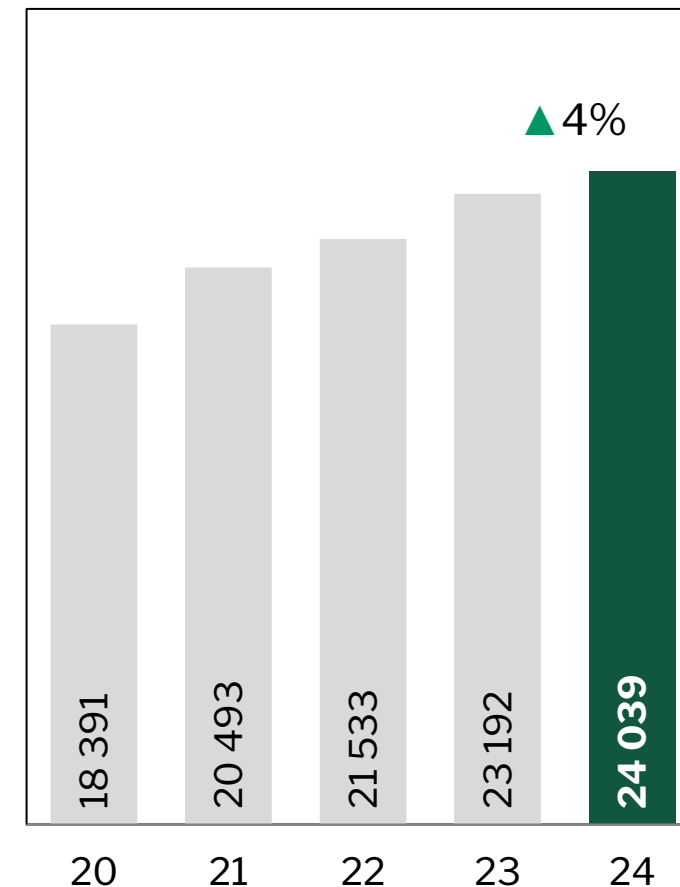
ROE & cost of equity (%)



Dividend per share (cents)



NAV per share (cents)

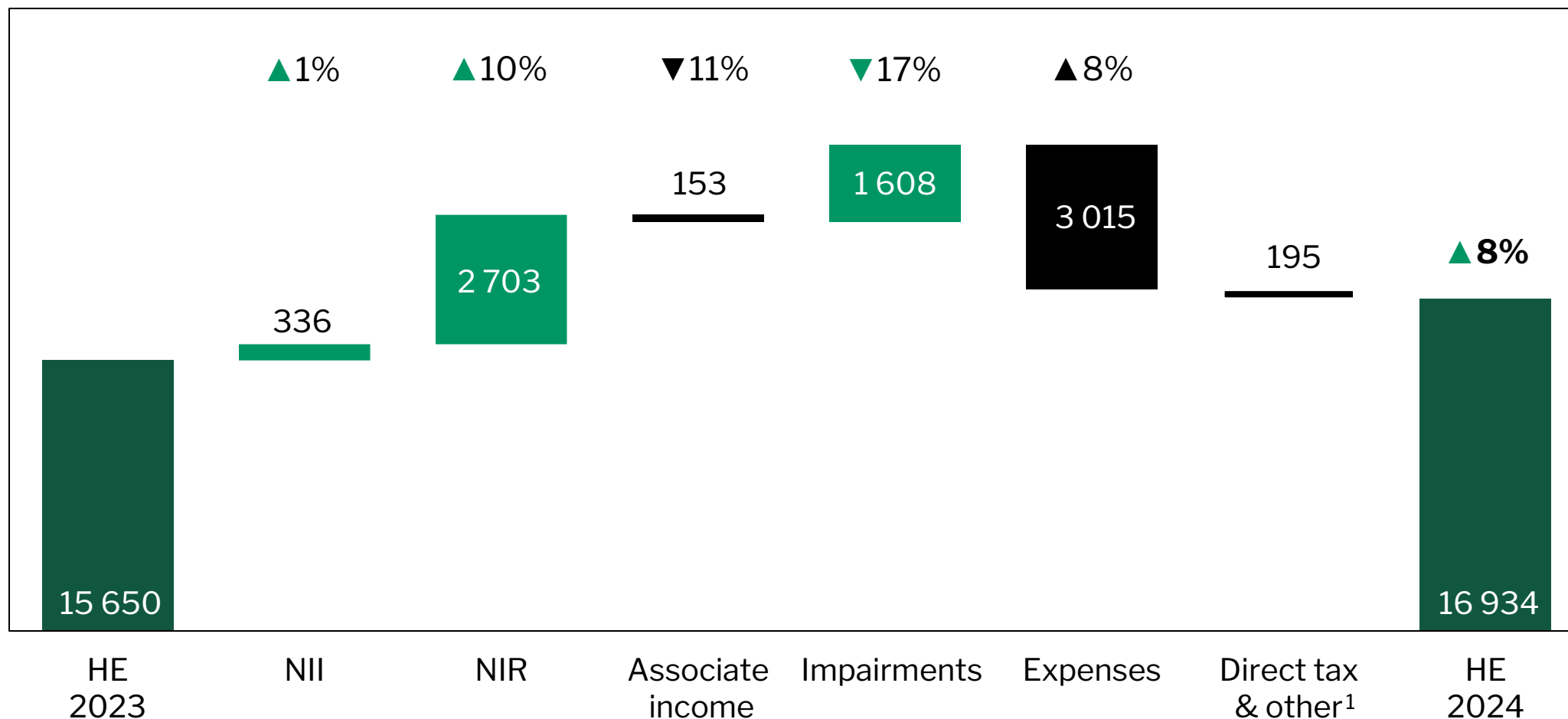


Interim: bottom bar | Final: top bar



Headline earnings up by 8% – driven by strong NIR growth & lower impairments, offset by slow balance sheet & NII growth

Headline earnings (Rm)

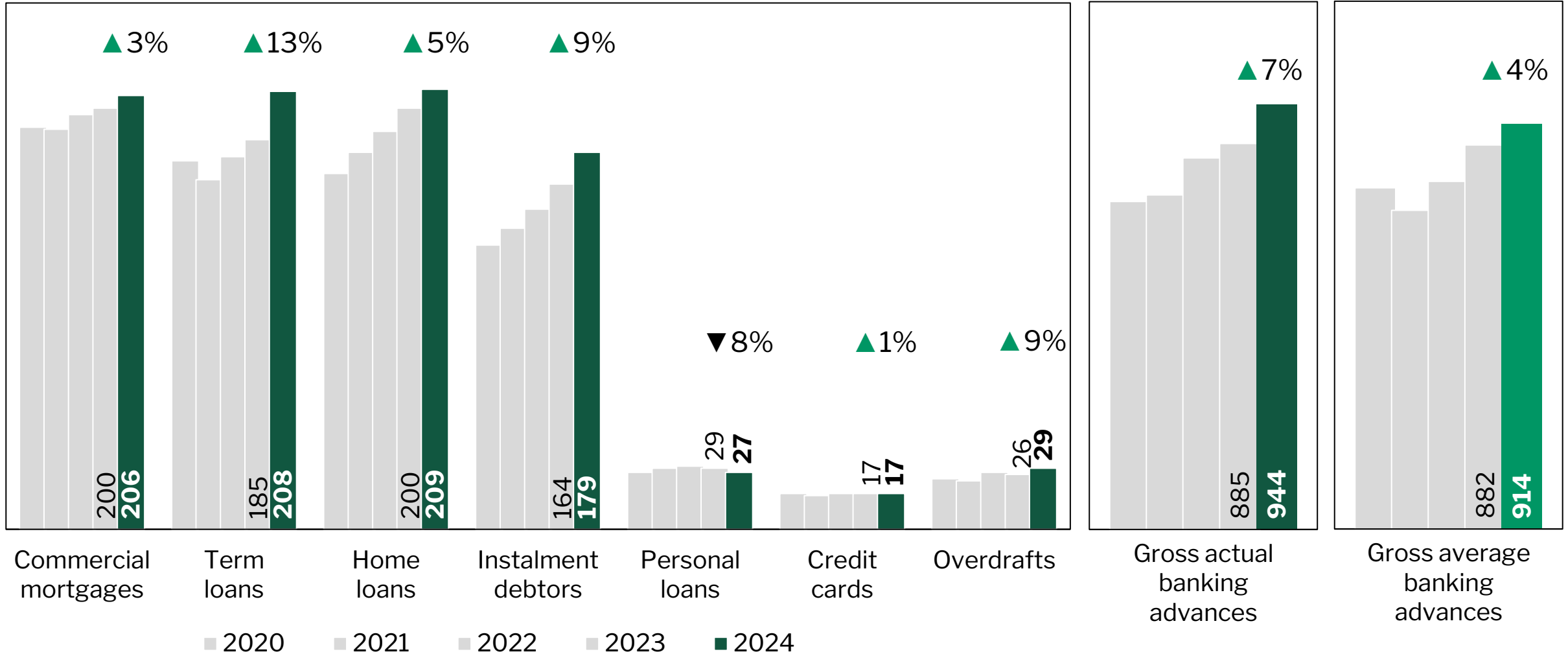


¹Other includes indirect tax and minority & preference shareholders.

Banking advances – actual banking advances grew at +7%, faster than average banking advances at +4%



Gross banking advances (Rbn)

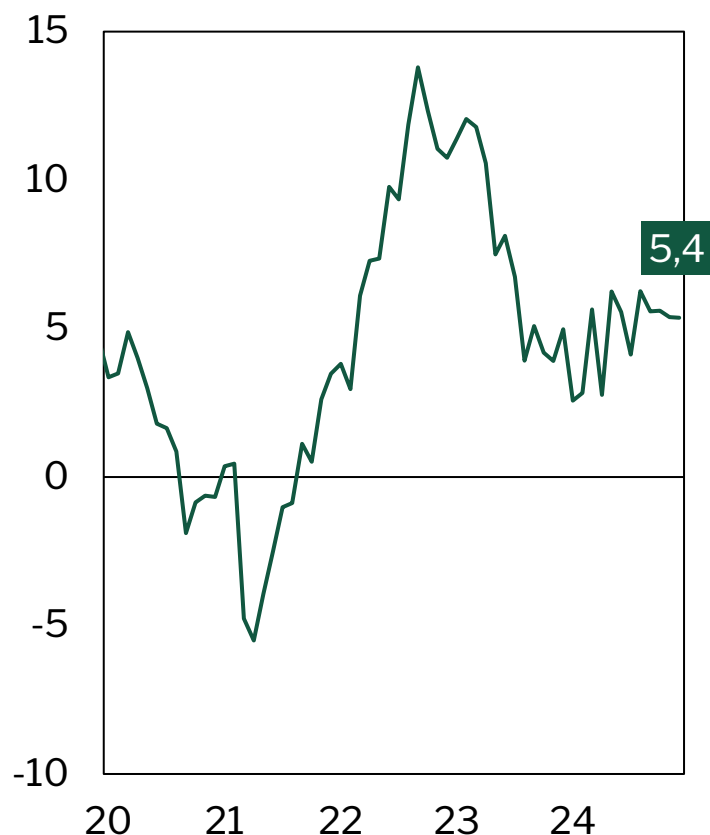




Additional info

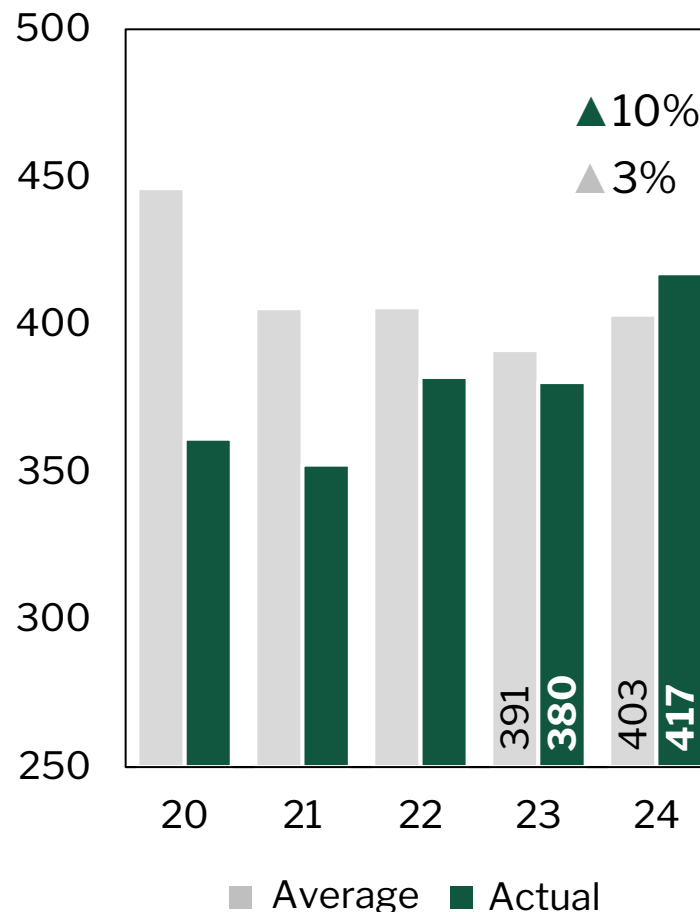
Banking advances – CIB's actual banking advances growth of 10% exceeded average growth on the back of a strong Q4 2024 performance

Corporate industry credit growth¹
(% yoy)



Source: ¹ SARB BA900.

CIB gross actual & average banking advances (Rbn)



Investment Banking

- Growth in key sectors, with actual advances up by 14%
- Strong Q4 2024 performance
- Robust pipelines, particularly in energy

Property Finance

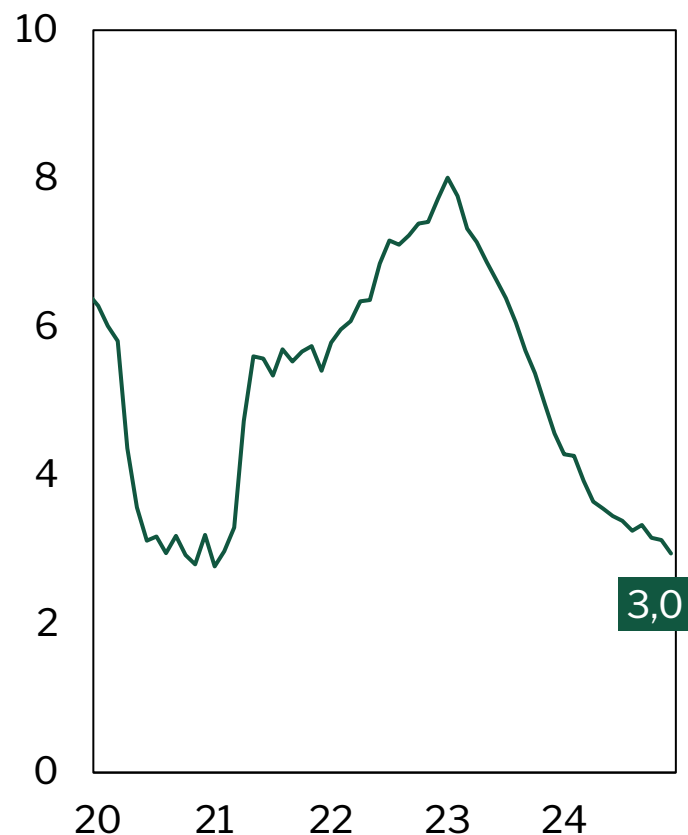
- Actual advances up by 7%
- Improved activity post the start of the downward rate cycle
- Further growth expected



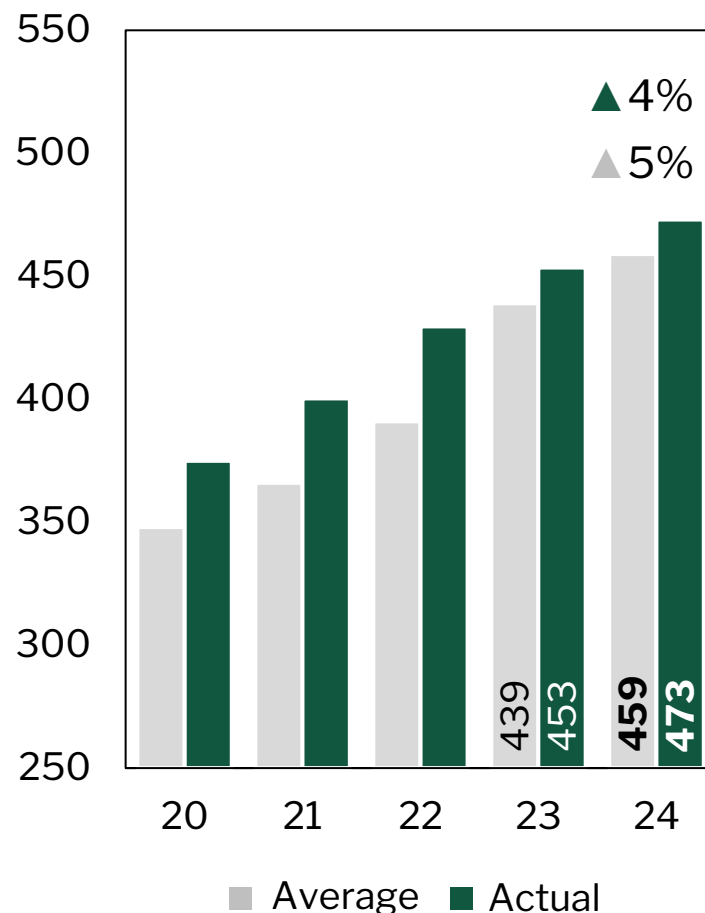
Additional info

Banking advances – RBB's actual advances growth was modest at 4%, but still ahead of industry credit growth which continued to slow throughout 2024

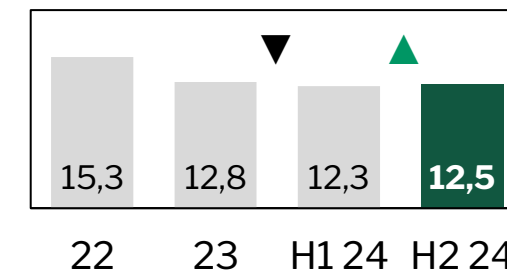
Household industry credit growth¹
(% yoy)



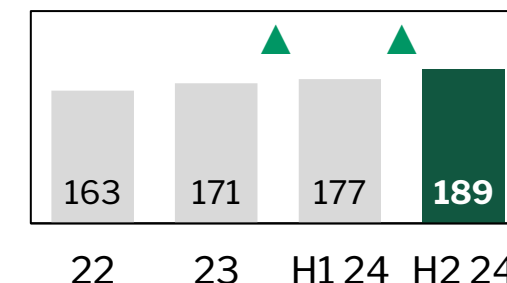
RBB gross actual & average banking advances (Rbn)



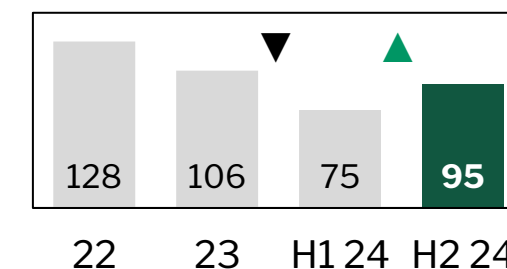
HL applications²



VAF applications²



PL applications²

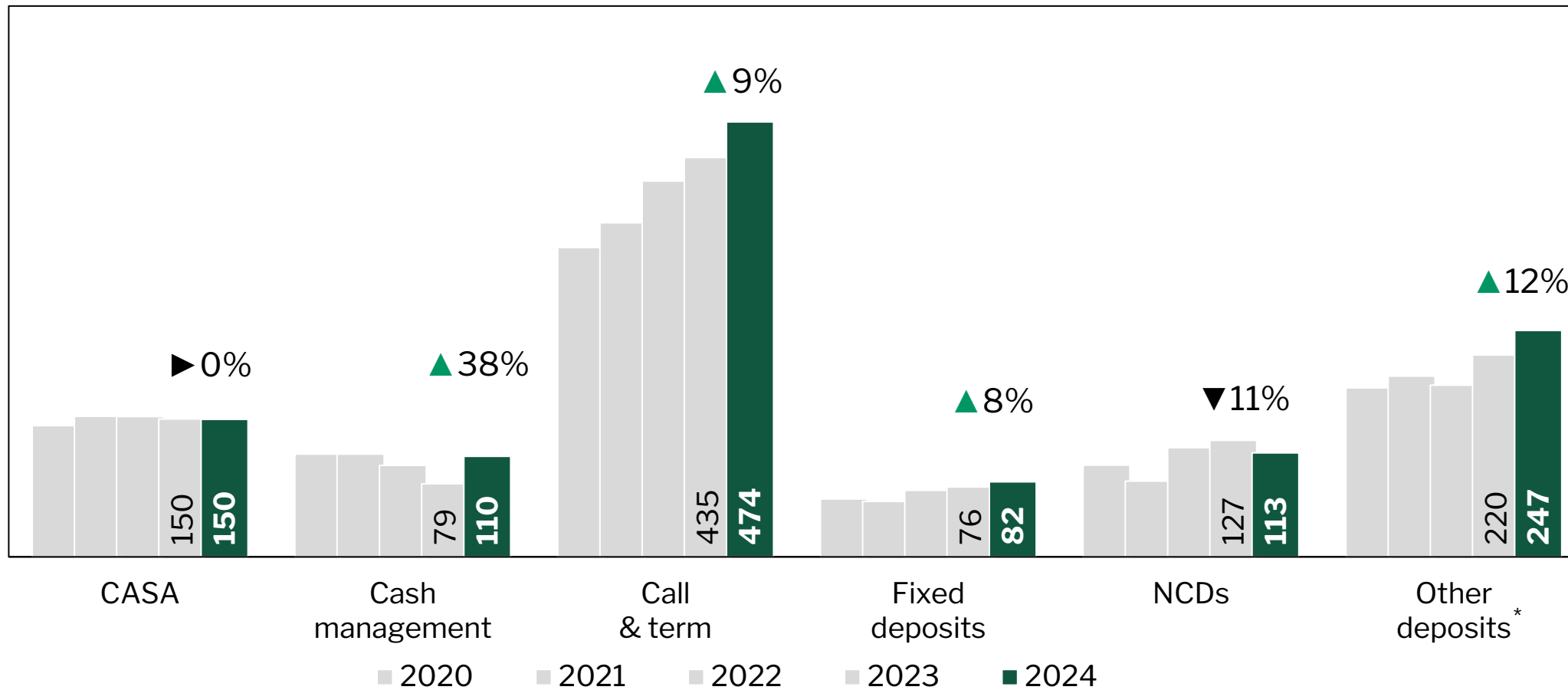


Source: ¹ SARB BA900. | ² Nedbank average monthly volumes (000).



Deposits up by 8% – driven by clients extending tenure in the current interest rate environment & Nedbank’s competitive offerings

Deposits (Rbn)

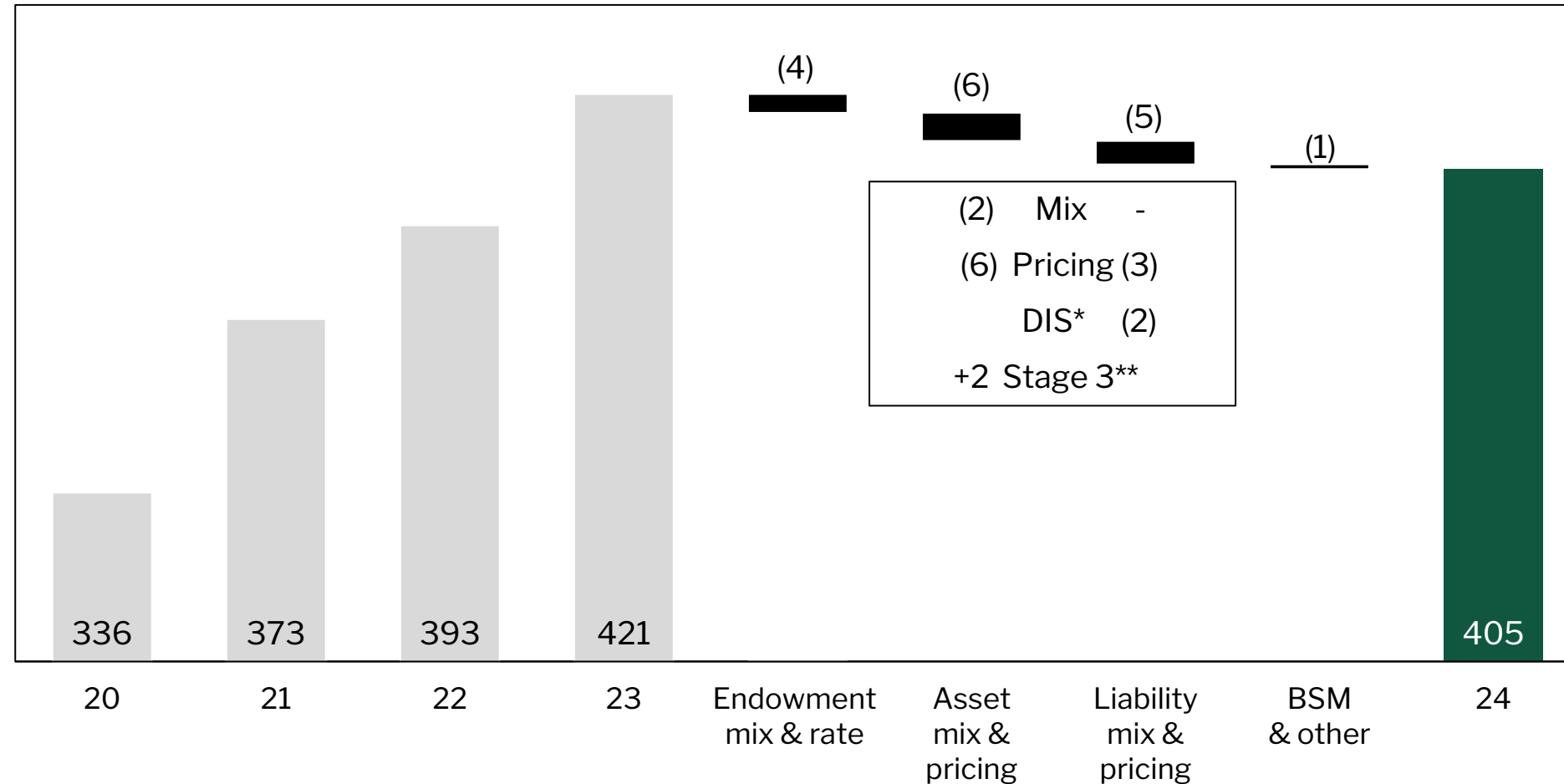


*Other deposits growth was driven by an increase in step rate deposits & other alternative funding as well as an increase in structured notes. Cash management deposits growth mainly due to higher government deposits.

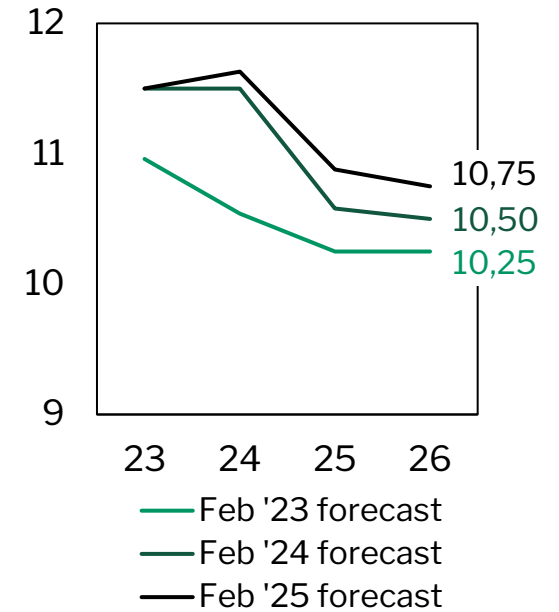


NII up by 1% – AIEBA growth of 5% offset by NIM compression of 16 bps

Net interest margin (bps)



Average SA prime (%)



NII sensitivity for 1% change in interest rates: **R1,5bn**

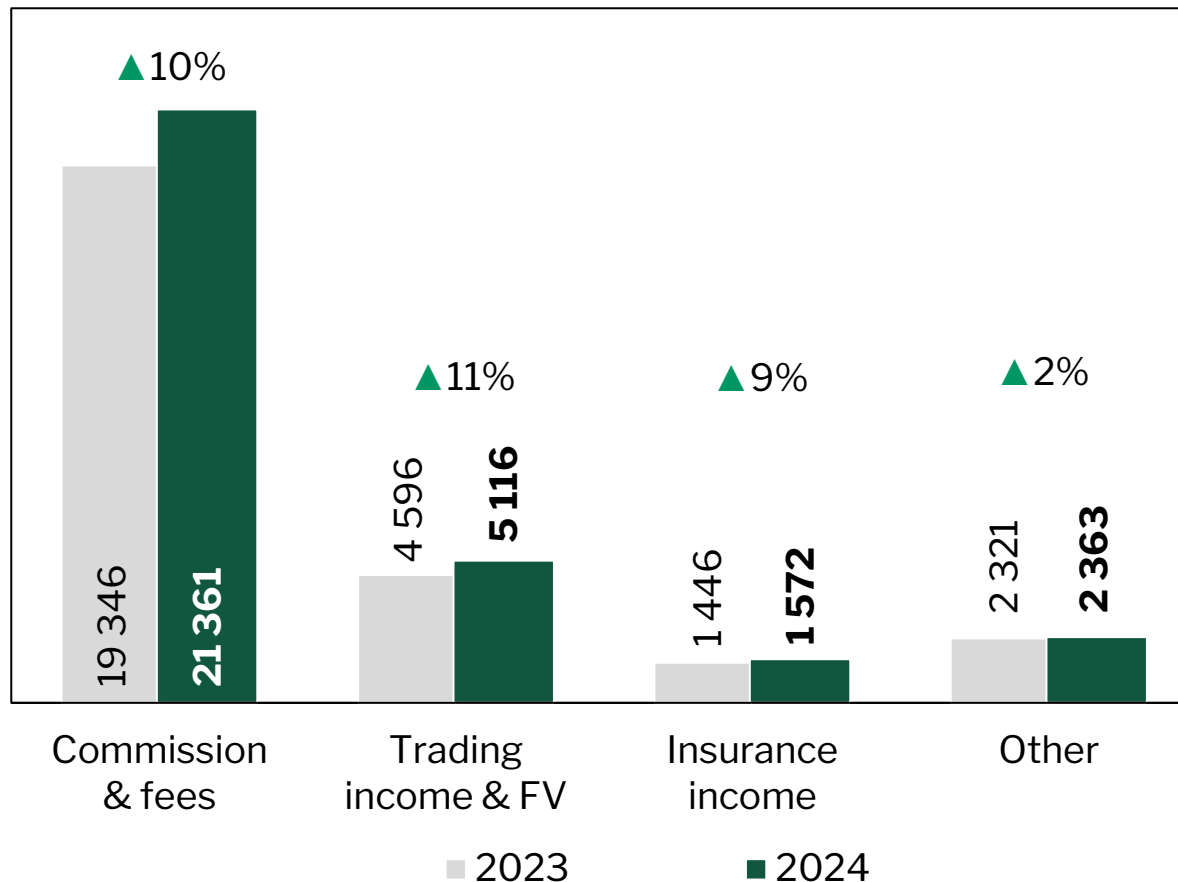
* The impact of the Deposit Insurance Scheme (DIS) premium & levy is included in liability mix & pricing.

** Stage 3 interest reversal.



NIR up by 10% – solid growth across commission & fees, trading & insurance

Non-interest revenue & income¹ (Rm)



- **Commission & fees** – driven by deal closures in CIB, as well as strong growth in maintenance fees, VAS & card in RBB
- **Trading & fair value** – supported by 13% growth in Markets due to a strong performance in debt securities, growth in equities & FV gains on inflation linked products
- **Insurance** – positive actuarial reserve releases, higher shareholder returns & improved claims experience in non-life, offset by lower traditional bancassurance volumes
- **Eqstra** – acquisition in June 2024 (R863m not in the 2023 base). Excluding Eqstra, NIR growth was 7% & commission & fee growth was 6%

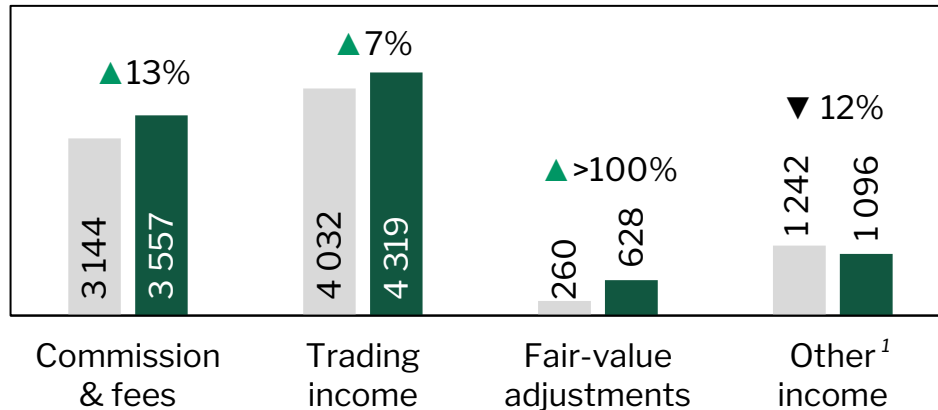
¹ Represents fair-value adjustments from hedge-accounted portfolios, equity investment income, sundry income & investment income.



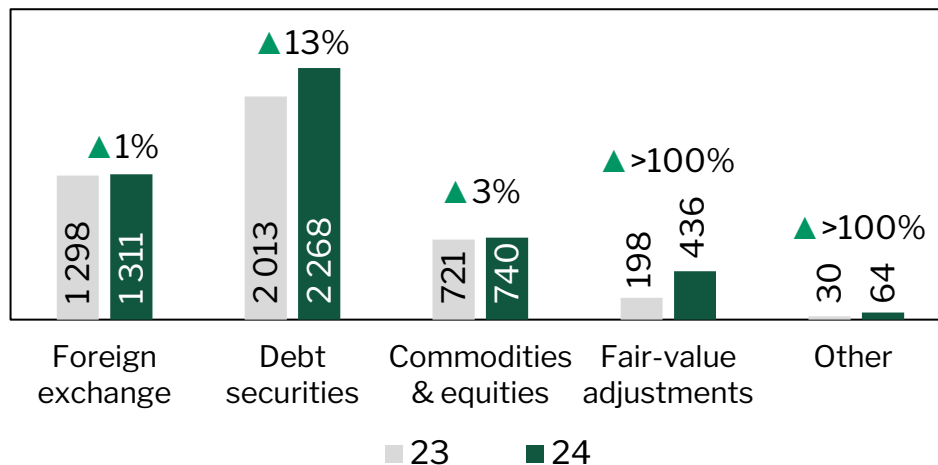
Additional info

CIB NIR growth – a strong 2024 performance

Non-interest revenue (Rm)

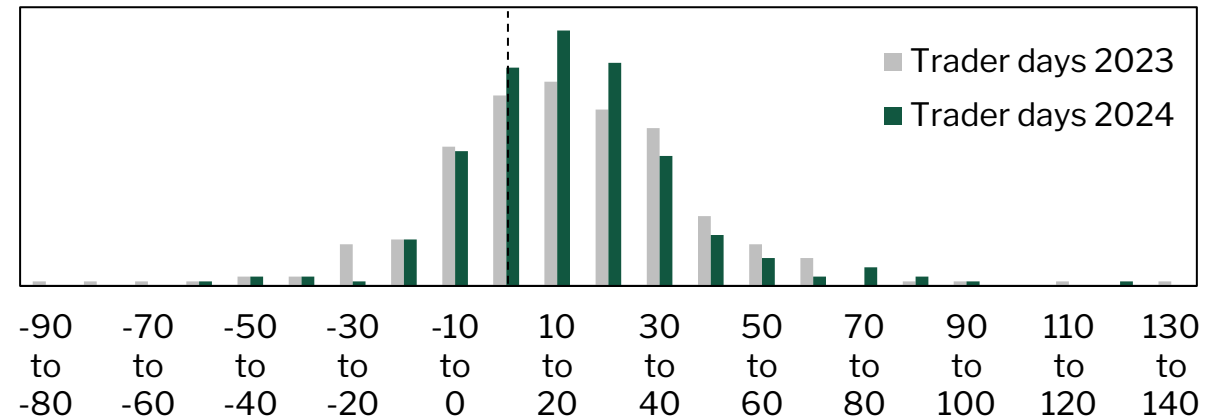


Markets NIR breakdown (Rm)



- **Commission & fees** – higher arranging fees in growth sectors
- **Trading income & FV gains up by 13%**
 - Debt securities up 13% & equities up 5% despite challenging macroeconomic conditions across asset classes & continued pressure on equity volumes
 - FX revenue up 1%, muted due to client activity
 - Positive fair-value gains on inflation linked products
 - Trading income distribution moving to the right
- **Other income**
 - Equity investment portfolio income² of R921m (Dec 23: R960m)

Daily trading income distribution (Rm)



¹Other income includes equity investment portfolio income, sundry income and investment income. ²Equity investment portfolio income includes revaluations and dividends. Including gains of associate companies, the portfolio income grew by 3%.



Additional info

Insurance – continued strong growth in the MyCover suite & digitally active client base

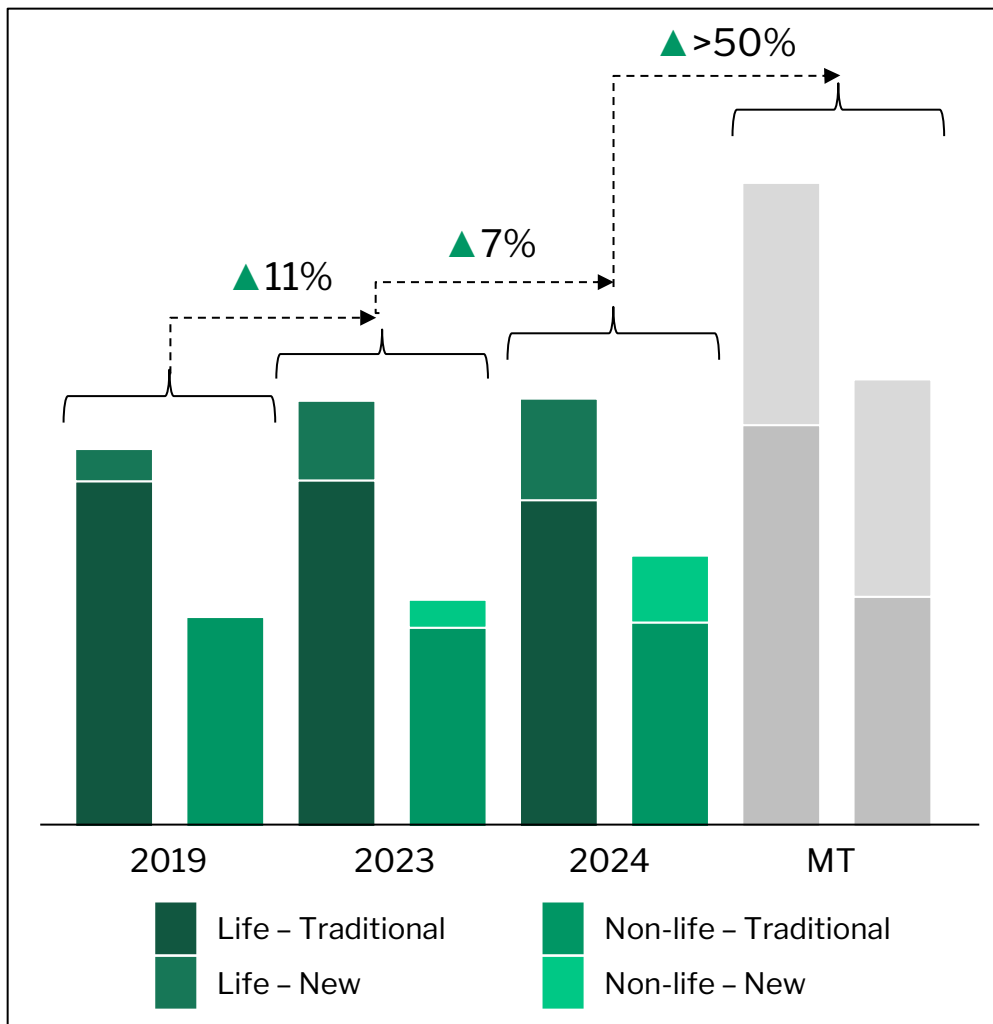
Digitally active client
base growth of >50%

Credit life cover
integrated in the digital
Retail journeys,
increasing digital sales
volumes

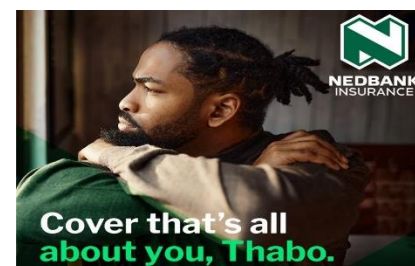
Launched **personalised**
offers leveraging deep
data insights to target
existing Retail clients

Continued **investment** in
product, channel &
service enablement

Gross earned premium (Rm)



MyCover Funeral



MyCover Personal Lines

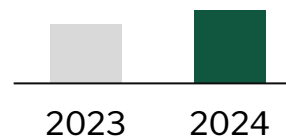


MyCover Life

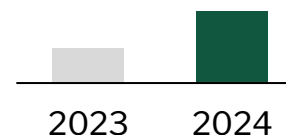


Gross earned premium

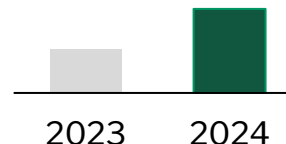
▲ 24%



▲ >100%



▲ 94%

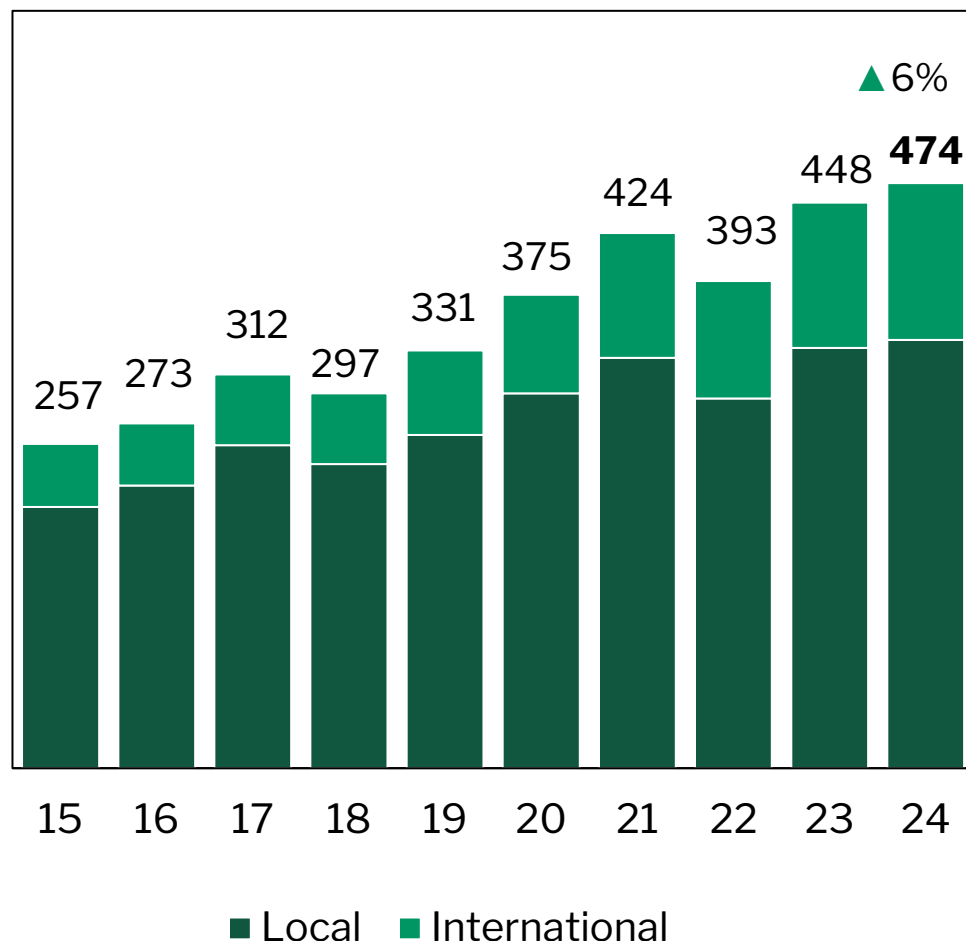




Additional info

Asset Management – good growth in NIR, driven by increased AUM on the back of positive market movements

Assets under management (Rbn)



Launch of
**Global Strategic
Bond Fund**
(US\$110m in
AUM)

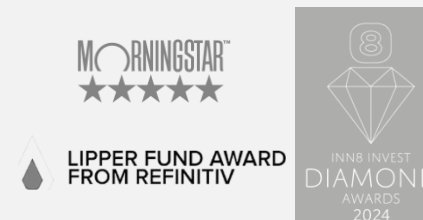


ASISA rankings

- **SA** – 8th largest in total AUM (7% market share)
- **International** – 3rd largest in total AUM (9% market share)

**R5,3bn
net flows into
low-cost Core &
Select ranges**

**Outstanding
industry
recognition**

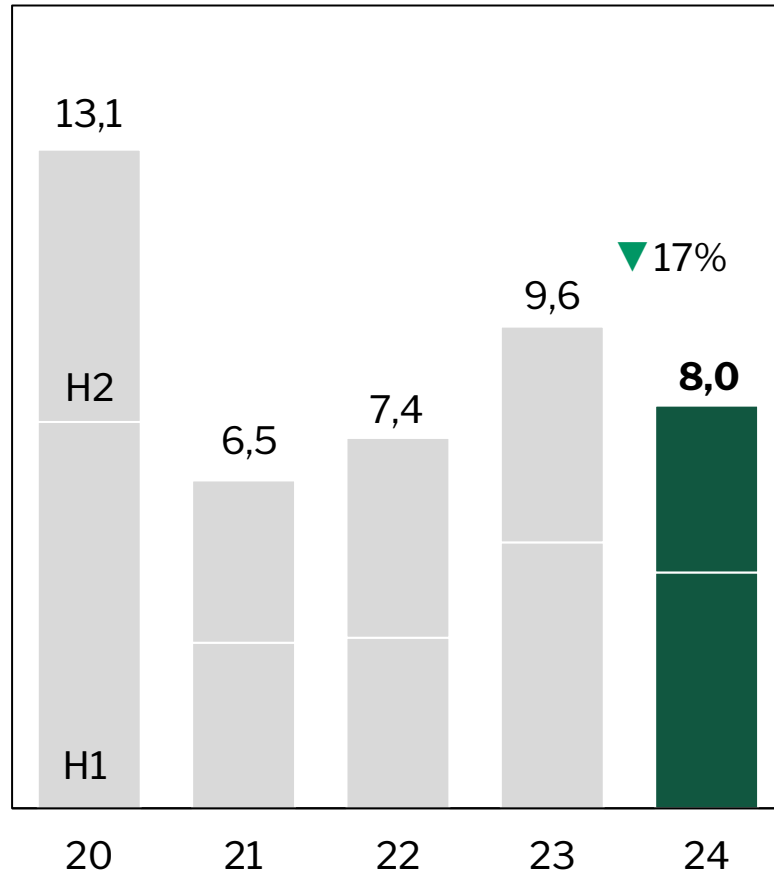


Implementation
of **OECD
Pillar 2**
global
tax rate



Impairment charge down by 17% to R8,0bn – driven primarily by a decline in RBB & CIB impairments

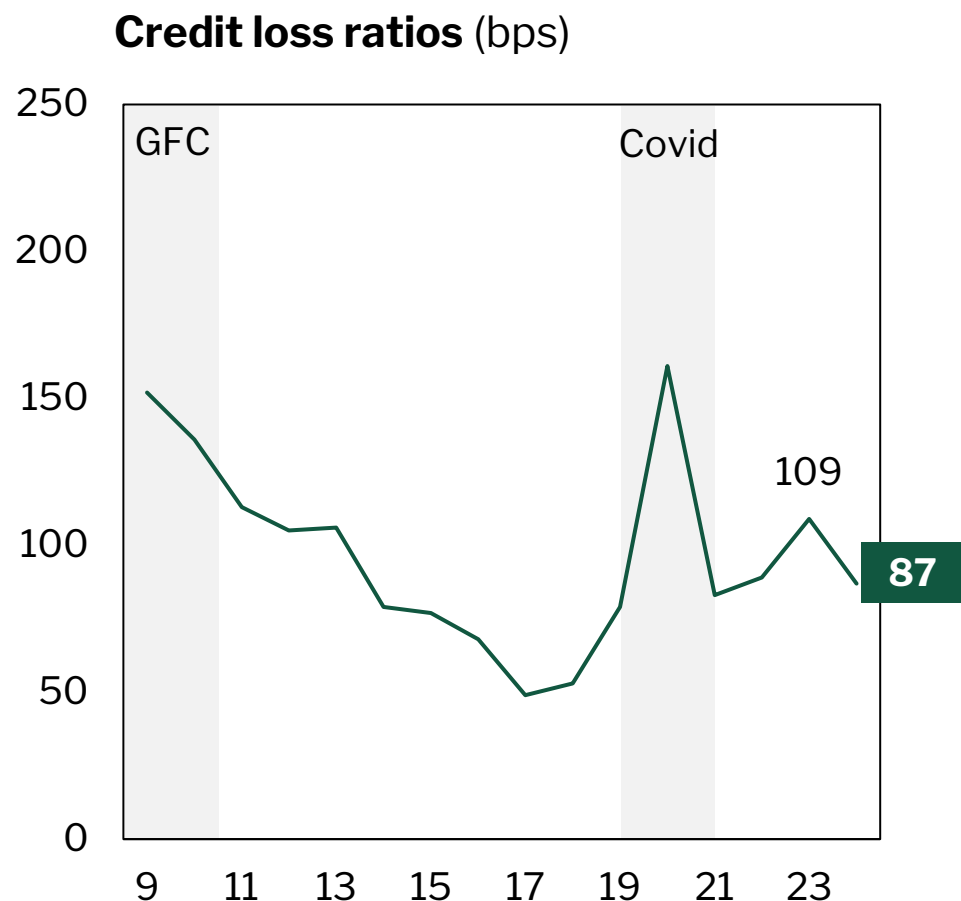
Impairment charge (Rbn)



- **RBB impairments down by 15%**
 - Consumer pressure still elevated, but the environment improved into H2 2024
 - Management interventions delivering benefits, including better collections, loan origination & policy tightening in some products
- **CIB impairments down by 39%**
 - Supported by R10bn decline in stage 3 loans
- **NAR impacted by additional provisions** for country-specific risks
- **Central provision** released as risks are now in cluster models & overlays. Total overlays of R0,8bn (Dec 2023: R1,1bn)



Group CLR down to 87 bps – back within target range

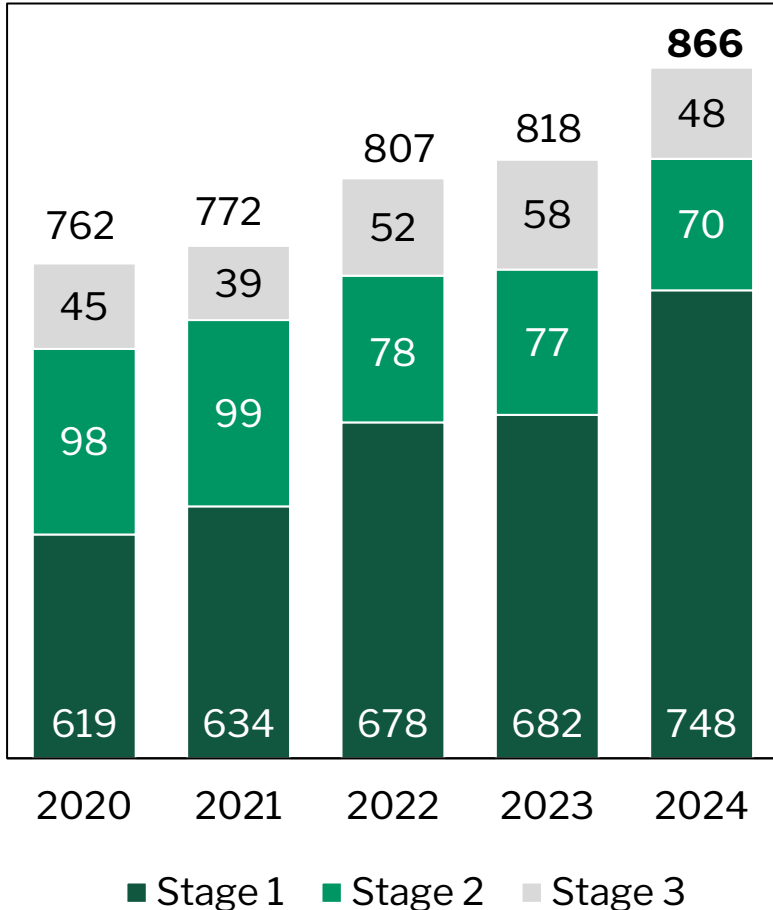


	24	23	22	21	20	TTC
CIB	14	24	22	42	82	15–45
CIB excl CPF	13	6	17	53	103	
CPF	16	47	28	30	54	
RBB	158	194	161	134	240	120–175
NCB	34	67	11	(21)	110	50–70
Retail	188	227	200	175	275	130–200
HL	66	80	33	(9)	64	
VAF	201	183	192	146	269	
PL	825	1 025	918	982	1 062	
Card	213	566	490	633	897	
Wealth	(2)	12	(20)	9	64	20–40
NAR	126	100	102	72	185	85–120
Group	87	109	89	83	161	60–100



Gross loans & advances & coverage – large increase in stage 1 loans & significant reduction in stage 2 & 3 loans

Gross loans & advances (Rbn)



Coverage (%)¹

3,37	3,62	3,32
34,3	34,2	40,5
7,0	6,8	6,5
Performing coverage (stage 1 & 2)		
1,26	1,28	1,11
0,60	0,66	0,61
2022	2023	2024

- **Stage 1 loans**
 - Increase driven by book growth & loan migrations from stage 2 & 3
- **Stage 2 loans**
 - Decrease due to stage migrations
- **Stage 3 loans**
 - CIB stage 3 loans down by R10bn
 - RBB stage 3 loans flat
 - Stage 3 coverage impacted by mix change & reflects our highly collateralised book

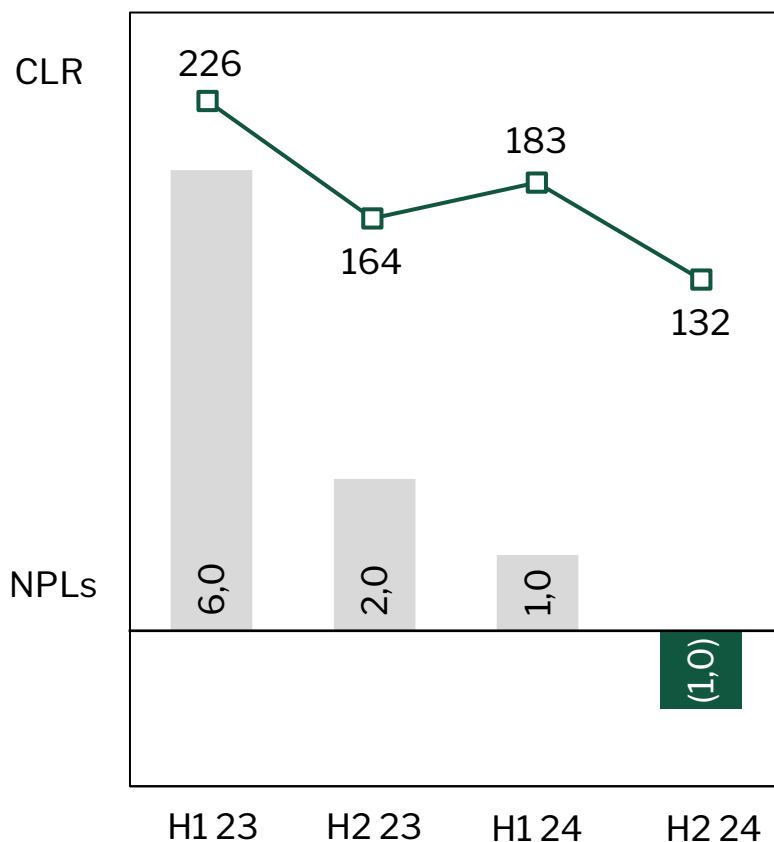
¹ Total balance sheet ECL includes FVOCI & off-balance-sheet ECL, whereas ECL coverage excludes FVOCI & off-balance-sheet ECL.



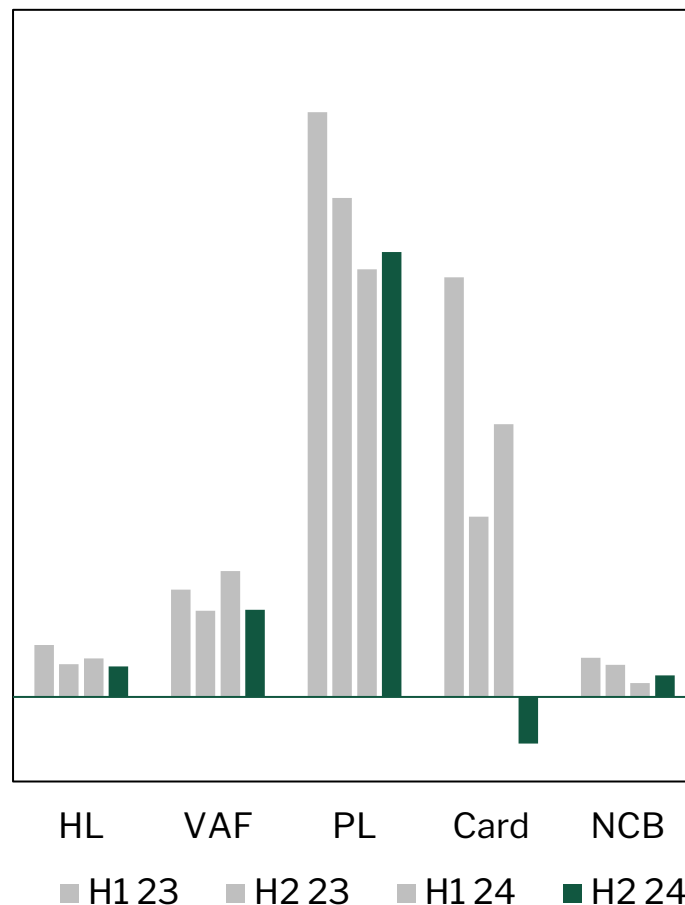
Additional info

RBB impairments – an improving macroeconomic environment & decisive management actions over the past 2 years delivering benefits

RBB stage 3 loans (hoh change, Rbn)
RBB CLR (%)



Business & product level CLR
(%)



Key drivers

- **Home loans** – stage 3 inflows reducing, but remain elevated due to long work-out periods
- **Vehicle finance** – reduced strain in H2 2024 from taxi exposures (small book) & stabilising recoveries at auctions
- **Personal loans** – credit policy actions taking effect
- **Card issuing** – cautious growth & reduced stage 3 inflows
- **Commercial banking** – client cures & lower stage 3 inflows



Additional info

Commercial property finance – a high-quality, well-diversified & highly collateralised portfolio

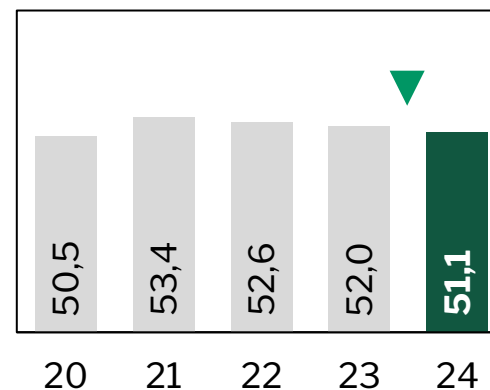
High-quality,
well-diversified
& highly
collateralised
portfolio



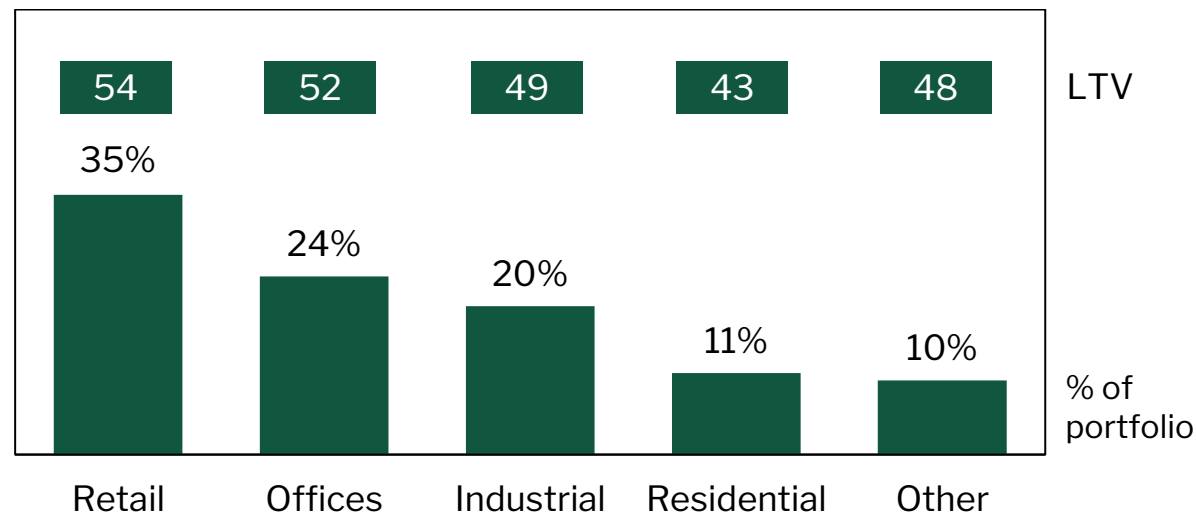
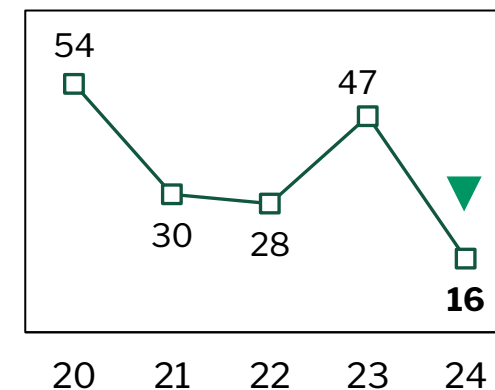
Reduction in
stage 3 loans
of R7bn to R3,4bn

Low levels of
arrears on the
performing book -
0 to 90 days: **R17m**

Loan-to-value (%)



Credit loss ratio (bps)

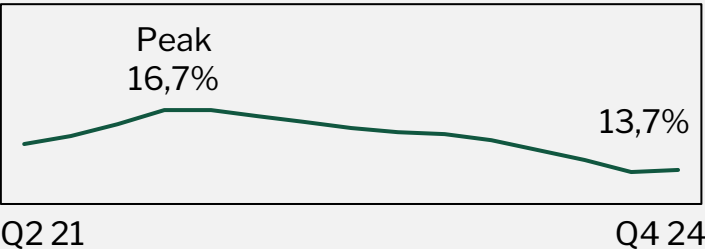




Commercial Property Finance – sector trends

Office vacancies¹

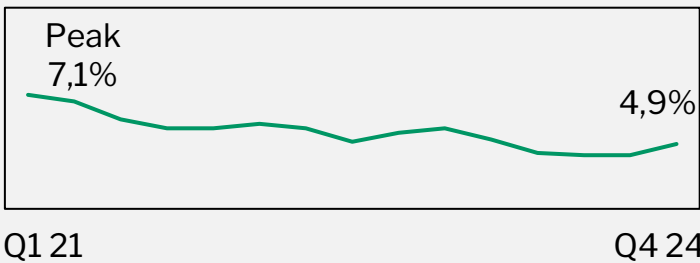
- Office vacancies maintaining a downward trajectory:



- Rental growth of 2,2%

Retail vacancies¹

- Retail vacancies trending down:



- Rental growth of 3,6%

Sector trends

- Valuations continue stable upward trend:
 - Valuations in the listed sector up 2,4%
 - Property Finance valuations up 3,1% for properties valued in 2024
- Activity in the lending environment significantly better in H2 2024 relative to H1 2024, due to the following:
 - Election certainty
 - Interest rate cuts
- Actual advances growth of 7,1%, largely in H2 2024

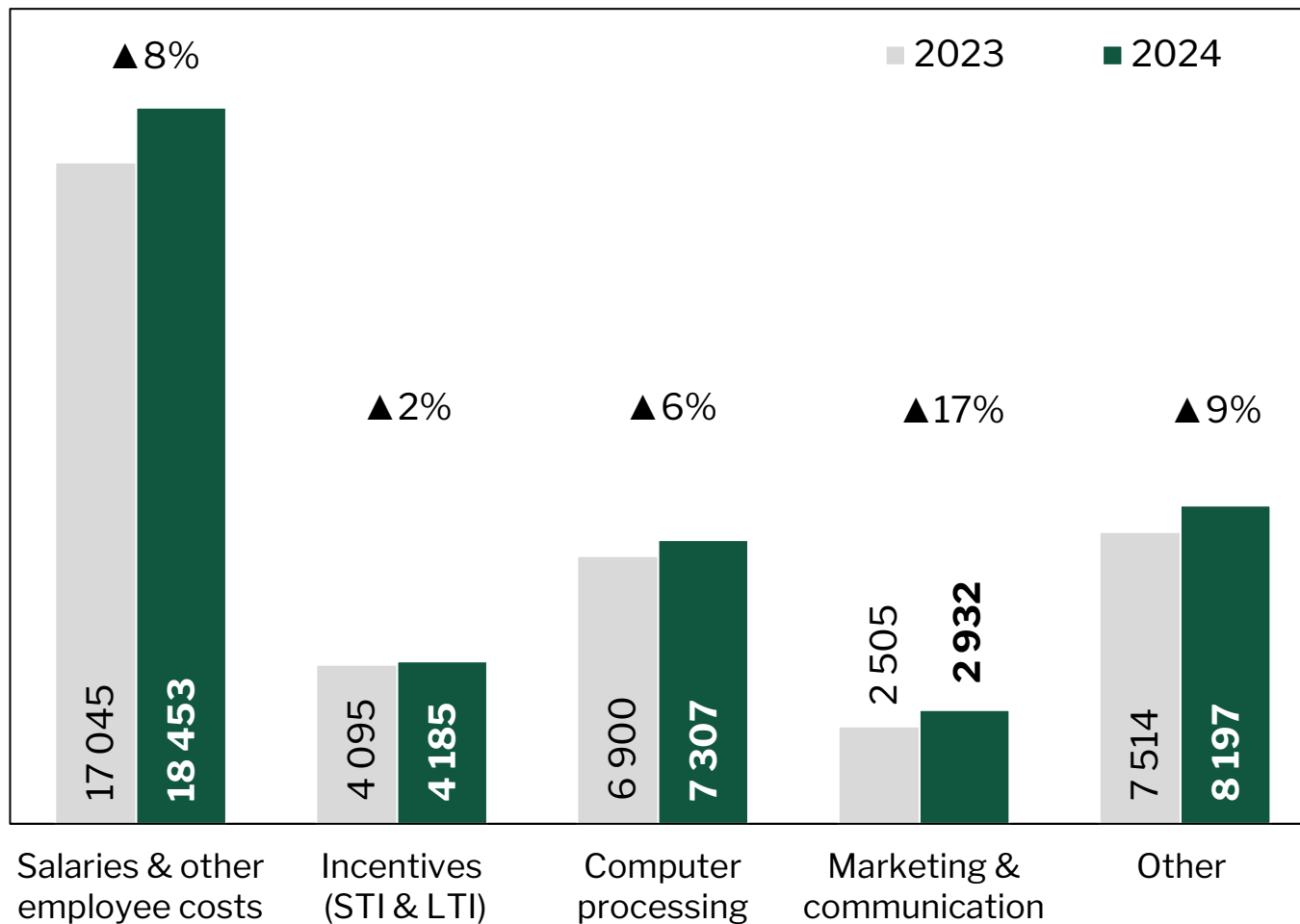
Listed sector

- Listed property sector was the best-performing asset class in 2024: total returns up 29%, relative to bonds up 17% and equities up 13%
- Average LTV for the listed sector at 36%, well below typical covenant level of 50%
- Average listed sector ICR of 3.1x, well above typical covenant levels of 2x
- Sustainability remains a key theme for the sector, particularly for listed funds
- CIB led the EDGE certification of the Mall of Africa with Attacq, the largest retail asset globally to achieve the prestigious certification

Expenses up by 8% – reflecting good expense management



Expenses (Rm)



▪ Employee-related costs

- Salaries & wages: annual average salary increase (+6%), use of additional contractors to complete ME & additional costs to retain talent & scarce skills
- Variable-pay incentives aligned with profitability metrics & vesting probabilities

- **Computer processing** – driven by continued investment in digital, higher IT volumes & FX devaluation, partially offset by low growth in the amortisation of intangible assets

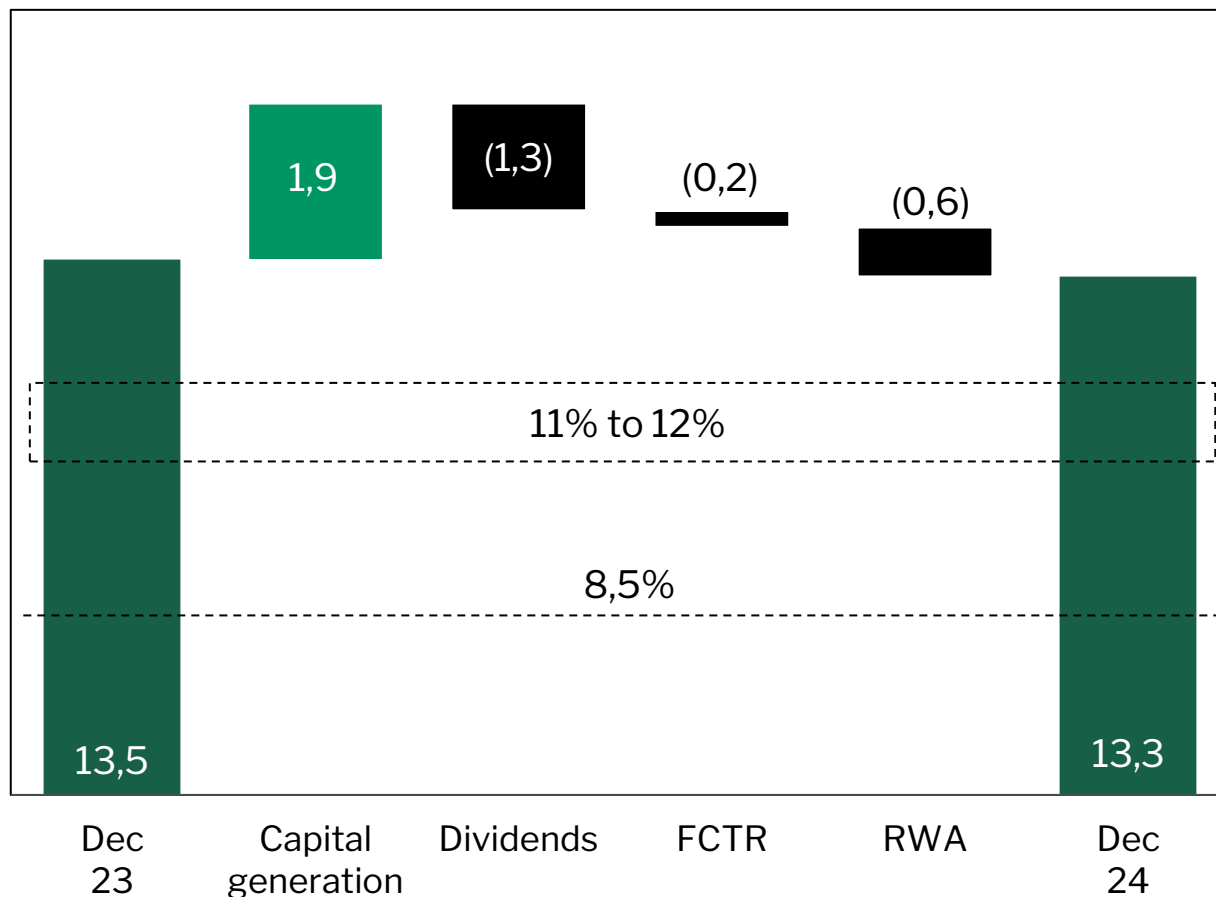
- **Other** – includes fees & insurances +9%

- **Eqstra** – acquisition in June 2024 (R683m included in 2024, not in the 2023 base). Excluding Eqstra, expense growth was 6%

Capital – CET1 ratio at 13,3%, well above target range, positioning us well to unlock growth opportunities



CET1 ratio (%)



Active capital management

- **Maintain CET1 ratio above our 11-12% target range** – considered appropriate in a difficult & volatile environment
- **Retain capital for growth** – infrastructure opportunities & targeted lending
- **Complementary bolt-on M&A**, should they arise (eg Eqstra)
- **Pay dividends at top end of payout ratio** (57%), subject to board approval
- **Approved further buyback of shares*** at appropriate share price levels
- **Basel III PCN countercyclical buffer of 1%** effective from 2026

*Shareholder, board & regulatory approvals in place.



Cluster financial performance

R7,4bn

▲ 9%
headline
earnings

20,5%

ROE
(2023: 18,9%)

14 bps

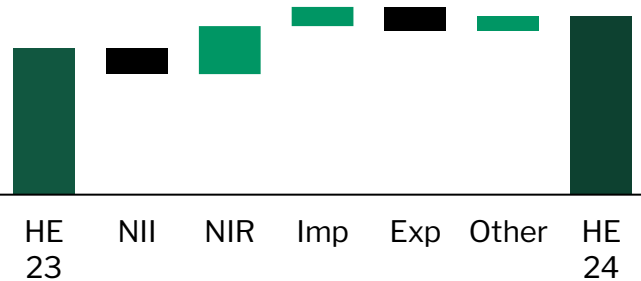
credit
loss ratio
(2023: 24 bps)

46,4%

cost-to-
income ratio
(2023: 45,2%)

Corporate & Investment Banking

▼ 5% ▲ 11% ▼ 39% ▲ 5%



R6,4bn

▲ 15%
headline
earnings

17,1%

ROE
(2023: 16,0%)

158 bps

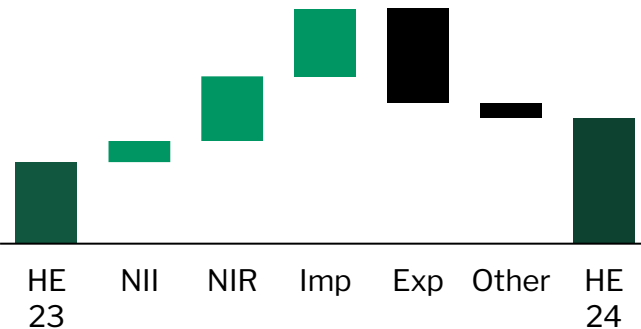
credit
loss ratio
(2023: 194 bps)

60,2%

cost-to-
income ratio
(2023: 58,1%)

Retail & Business Banking

▲ 2% ▲ 9% ▼ 15% ▲ 8%



R1,3bn

▲ 4%
headline
earnings

27,6%

ROE
(2023: 26,8%)

(2) bps

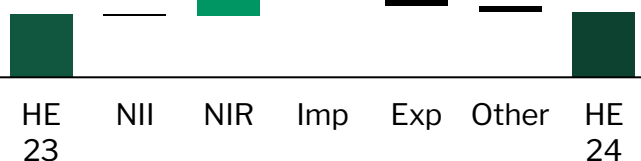
credit
loss ratio
(2023: 12 bps)

66,6%

cost-to-
income ratio
(2023: 66,6%)

Nedbank Wealth

▼ 1% ▲ 12% ▼ (100%) ▲ 7%



R1,6bn

▼ 14%
headline
earnings

20,5%

ROE
(2023: 25,2%)

126 bps

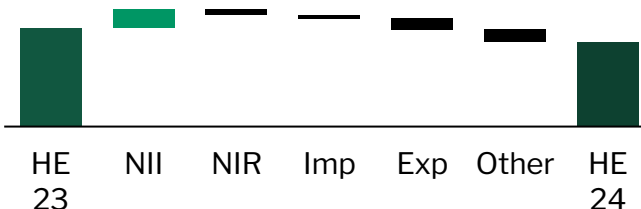
credit
loss ratio
(2023: 100 bps)

57,4%

cost-to-
income ratio
(2023: 53,6%)

Nedbank Africa Regions

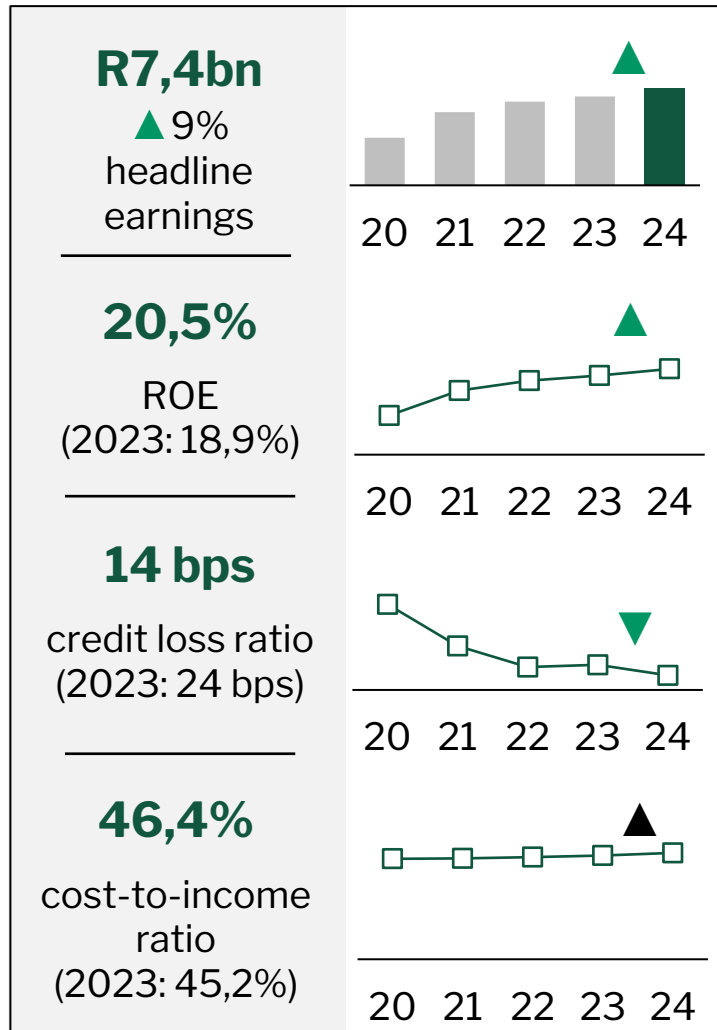
▲ 16% ▼ 5% ▲ 25% ▲ 7%





Additional info

CIB financial performance – ROE improved to 20,5% on the back of a strong performance in NIR, coupled with disciplined capital management



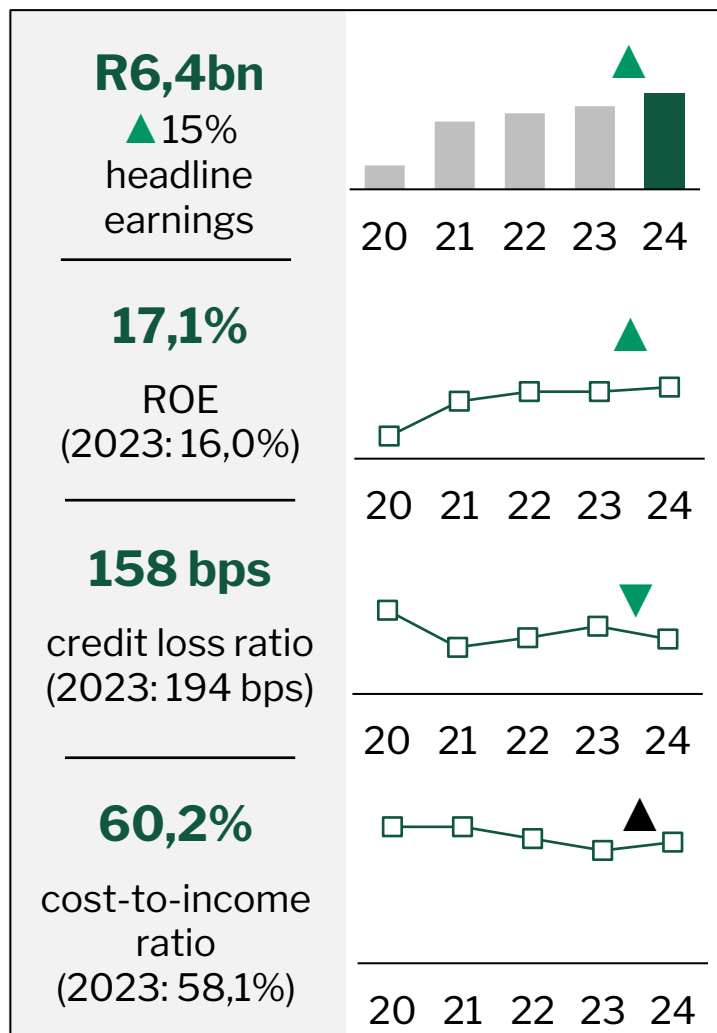
- **NII down by 5%**
 - Actual advances up by 10% across various sectors
 - Average advances up by 3%, with growth mainly in Q4
 - NIM down: growth in high-quality lower-margin assets, maturing of high-margin deals & introduction of DIS costs. A positive impact from endowment & suspended interest
- **NIR up by 11%**
 - Commission & fees up by 13%: deal closure across all sectors
 - Markets NIR up by 13%, with trading in debt securities, equities & other FV income growing
 - Equity investment portfolio income¹ down by 4%
- **CLR down by 10 bps** – below the lower end of the TTC target range of 15 to 45 bps
- **Expense well managed at 5%**

¹Equity investment portfolio income includes revaluations and dividends. Including gains of associate companies, the portfolio income grew by 3%.

RBB financial performance – strong HE growth, driven by an improved impairment performance



Additional info



- **NII up by 2%**
 - Average advances growth slowing to +5%
 - Impacted by lower client margins, lower funding spreads & higher funding costs & the negative impact of suspended interest
- **NIR up by 9%** (excluding Eqstra +3%)
 - Higher maintenance fees (+15%) & higher activity in value-added services volumes (+17%), offset by lower cash volumes
- **Impairments decreased by 15%**
 - CLR improved to 158 bps due to an improved macroeconomic environment, as well as improved origination & collection strategies. CLR within the TTC target range of 120–175 bps
- **Expense growth of 8%** (excluding Eqstra +5%)
 - Ongoing cost optimisation & digitisation benefits



Additional info

RBB financial performance – Eqstra acquisition effective from 1 June 2024

Strategic purpose

Eqstra enhances & complements Nedbank's fleet management business offerings

- Integrated world-class internet-based fleet management system
- Integrated approach to fleet management, aimed at providing better quality, cost & scale to all clients & enhances Nedbank's competitiveness in the market
- Expands Nedbank's products & services offering outside of SA

Salient features

Income statement

Dec 2024

GOI ¹	R764m
Expenses	R683m
HE	R54m

Balance sheet

Assets	R3,5bn
Liabilities	R2,4bn
Cash acquisition cost paid	R1,1bn

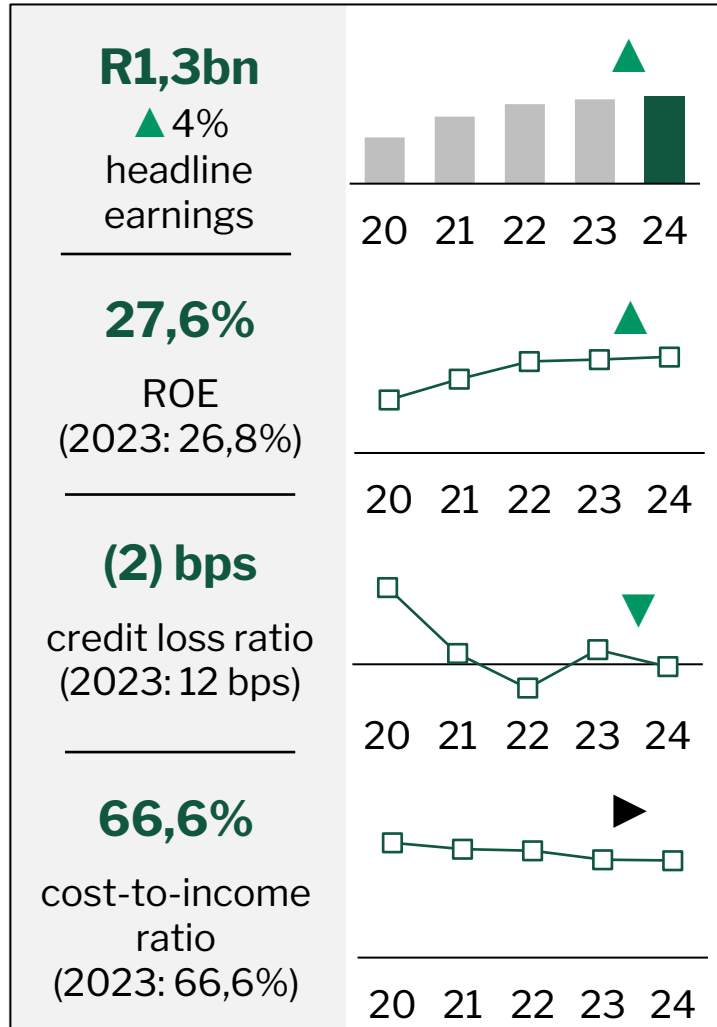
Permanent employees	278
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¹GOI includes NIR of R863m.



Additional info

Wealth financial performance – HE growth driven by NIR, with ROE remaining >10% above the group COE

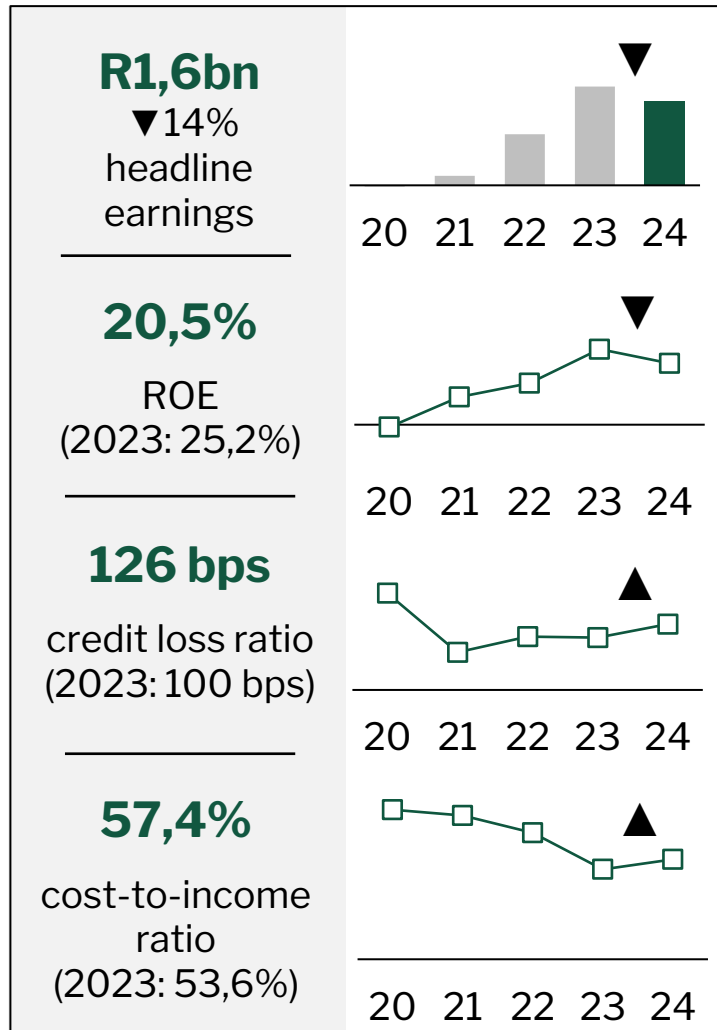


- **NII down by 1%**
 - Lower average deposits, following the exit of the corporate e-gaming sector, and lower average loans & advances, due to increased repayments in the high-interest-rate cycle
- **NIR up by 12%**
 - Positive actuarial reserve releases, higher shareholder returns & improved claims experience in non-life insurance
 - Good growth in AUM balances & higher trading, portfolio management & advice fees
 - Lower traditional bancassurance volumes
- **Impairments down by >100%**
 - Client-specific overlay releases & credit model enhancements in NPW (SA), following a review of stage 2 provision factors
- **Expense growth of 7%**
 - Investment in people, product & service enhancements, and data & digital initiatives
- **Tax** – Higher international tax due to the implementation of the OECD Pillar 2 tax rate of 15%



Additional info

NAR financial performance – HE impacted by once-off base issues, but ROE maintained above COE

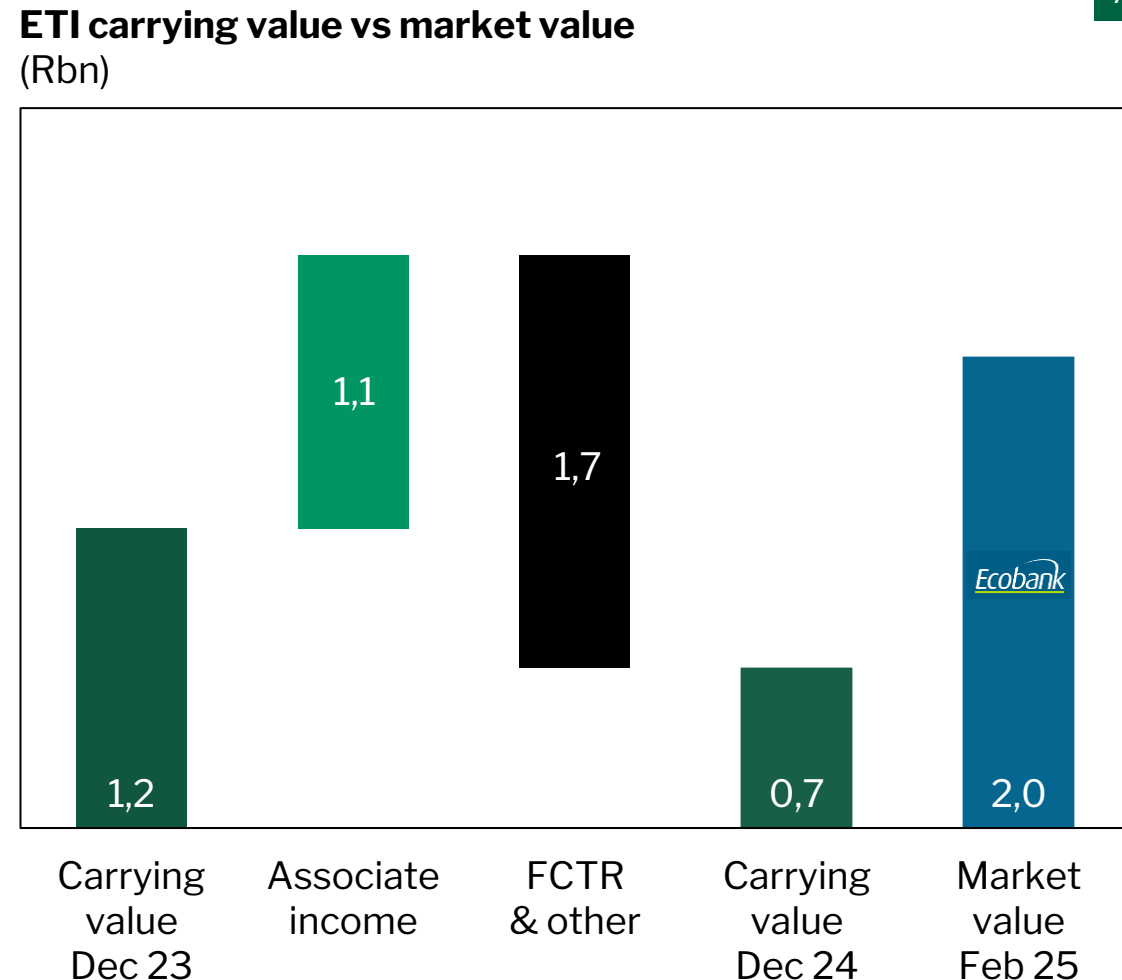
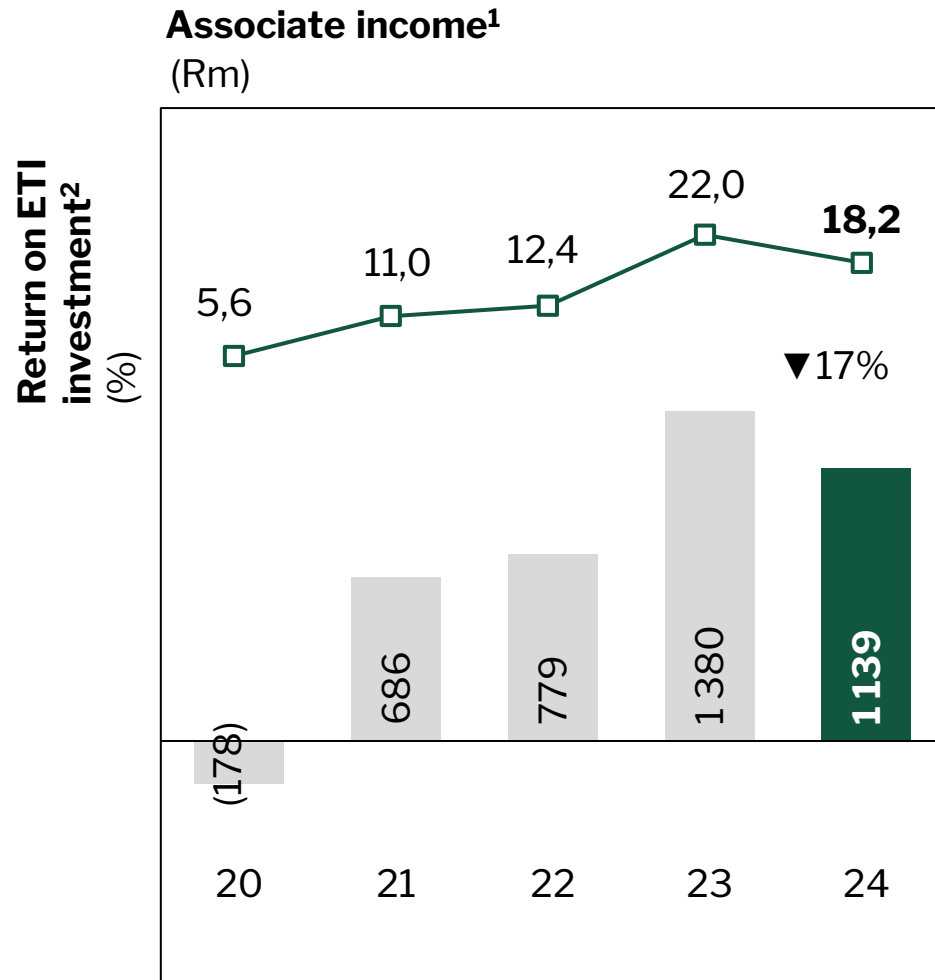


- **SADC operations** – HE of R582m, down 12% & ROE of 7,8%
 - Excluding base effect of Zimbabwe FX gains net of the NML, HE up by 60%
 - NII up by 11%, driven by improved margins & marginal growth in loans and advances
 - NIR down by 5% (up by 13% excluding the base effect)
 - Impairments up by 25% & CLR above the TTC target range at 126 bps
- **ETI associate investment** – HE of R1 037m, down by 16%
 - Associate income down by 17% to R1 139m, down 5% excluding the prior-year Ghana reversal
 - ETI's ROTE increased to 31,2% (9M23: 25,6%)
 - Ecobank Nigeria's performance remains suboptimal (ROE: 2,7%)



Additional info

ETI associate investment – carrying value now insignificant & well below ETI market value



Note: ETI accounted for a quarter in arrears. | ¹Associate income includes the reversal of the R175m estimated impact of the Ghana sovereign debt restructure release accounted for in the prior year. | ²Return on original investment of R6,3bn (based on associate income).



Outlook

Jason Quinn
Chief Executive



Unlock transformational growth, while we continue to perform

Perform

– manage the group efficiently & improve profitability in the near term

Transform

– initiatives that will, over time, help us to get to our long-term ROE target of >18%

Unlock value from
**technology
investments**

**Scale our
retail business**

**Portfolio
diversification**

Leverage our sector
**skills & expertise
in CIB**

A more deliberate
**expansion into
key African countries**

Leverage
Artificial Intelligence

Commercialise
Data

Modernise
Payments

Harmonise
IT systems in NAR

Market share gains
(in key lending &
deposit taking categories)

Grow & enhance
insurance cross-sell

Enhance
productivity

Leverage data driven marketing
Martech

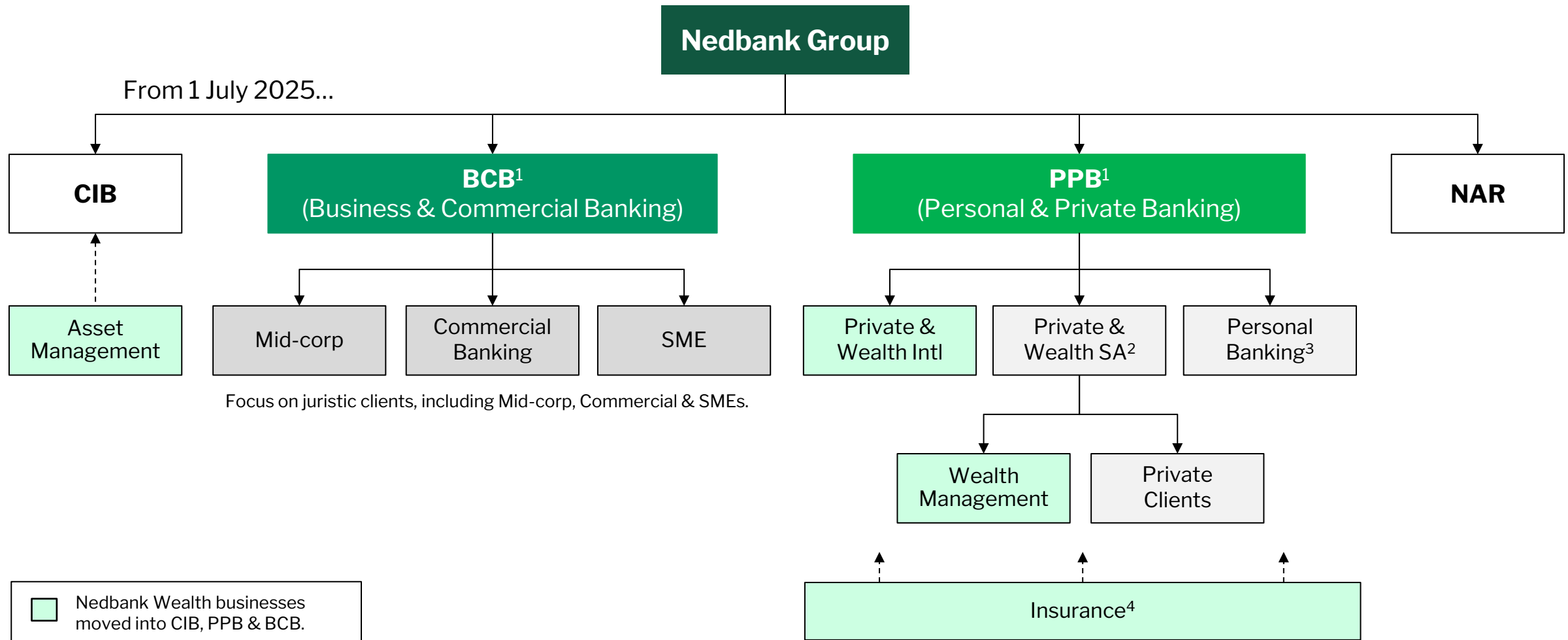
Deliver new
Mid-corp offering

Grow our
presence in SADC & East Africa

Build out our **transactional
banking franchises**

Evolve our
Purpose & SDF ambitions

Strategic reorganisation – evolving into an organisational design more focused on client centricity



¹Subject to finalisation in Q2 2025.



Strategic reorganisation – rationale, benefits & key time lines

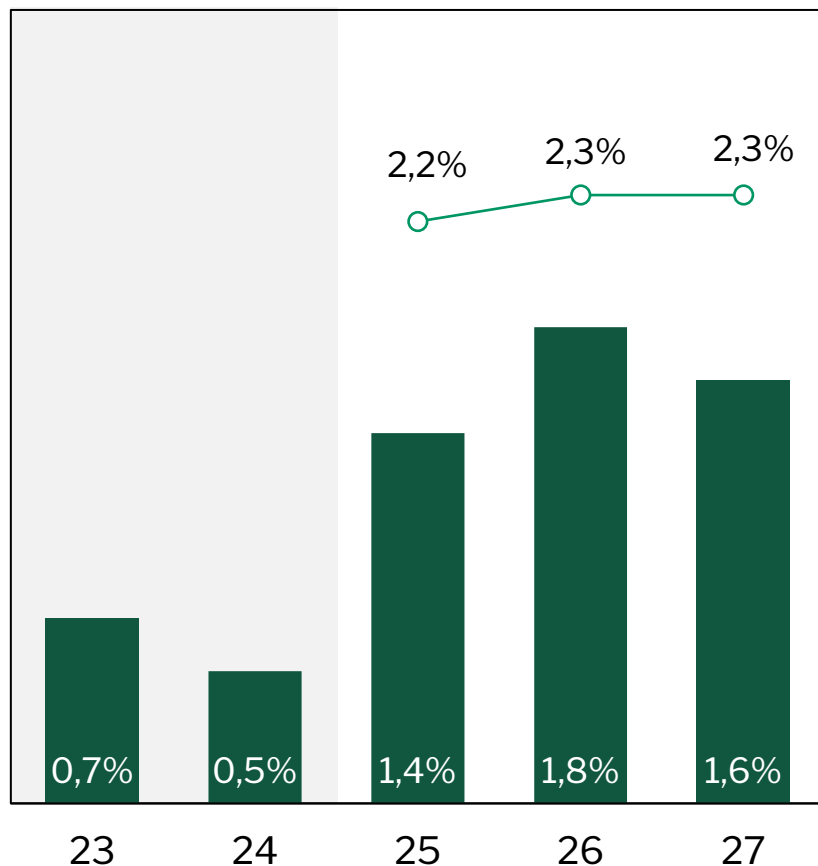
Enhanced organisation & execution

	Rationale & benefits	Key time lines
PPB (Personal & Private Banking)	○ Focus on individual clients ○ Grow & enhance insurance up- & cross-sell ○ Scale our retail business & leverage capability synergies between Private Clients & Wealth Management	○ 4 March 2025 – announcement to the market ○ Q2 2025 – refine & implement effective structure & finalise leadership positions ○ 1 July 2025 – changes become effective, reporting as BCB & PPB ○ H2 2025 – finalise KPIs & targets
BCB (Business & Commercial Banking)	○ Focus on juristic clients ○ Accelerate growth through new compelling CVPs (SME, Commercial, Mid-corp) ○ Elevate importance to Group Exco level	
Value for stakeholders	○ Employees – empower our employees by breaking down structural barriers to collaboration, creating increased focus & aligning incentives ○ Clients – enhance how clients experience Nedbank, unifying our personal & juristic business segments into distinct, focused clusters, to offer more seamless & integrated banking experiences ○ Shareholders – improved financial performance, supported by focused growth strategies & productivity to support the increase of our ROE to >18%	

Operating environment – cautious optimism & an improvement in key economic indicators

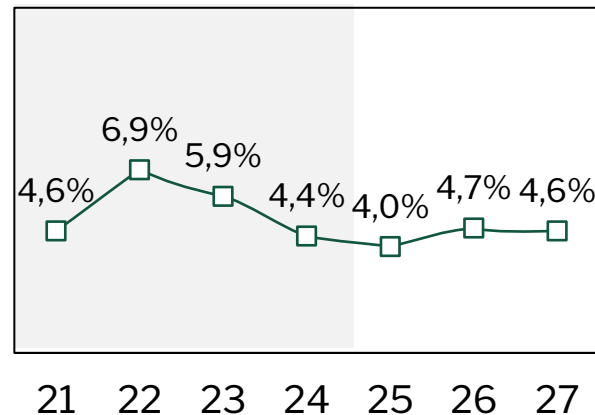


SA GDP growth (%)

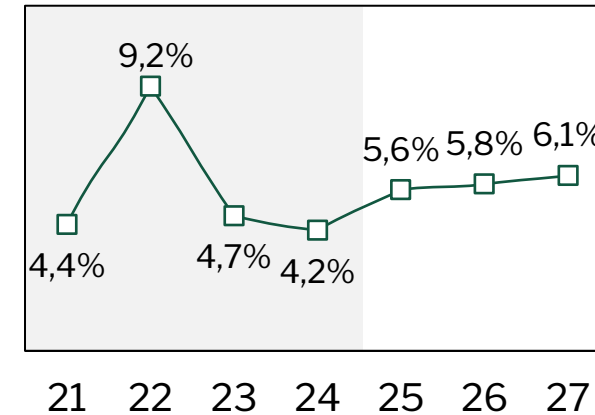


■ Base case ○ GNU upside scenario

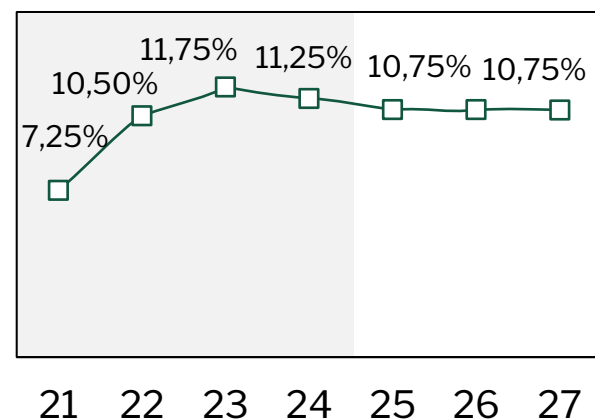
Inflation (average, %)



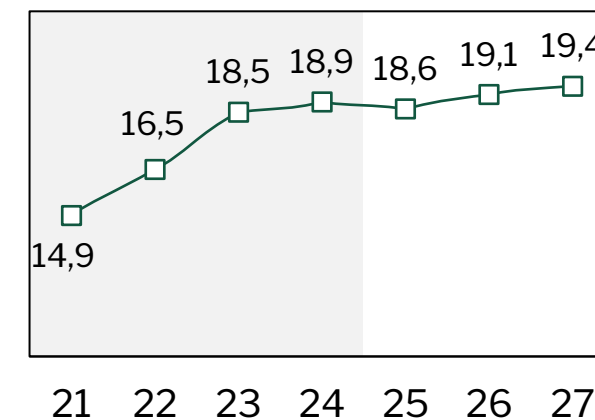
Industry credit growth (ye, %)



Prime interest rate (ye, %)



Rand/US\$ (average)



Source: Nedbank Group Economic Unit. The group's favourable economic scenario reflects the GNU upside scenario.



Short-term guidance (2025)

	2024	2025 guidance ¹
NII growth	+1%	Around mid-single digits Stronger loan growth (wholesale biased), partially offset by NIM compression (asset mix, pricing pressure, endowment)
CLR	87 bps	Around the midpoint of the group's TTC target range (60 bps to 100 bps)
NIR growth	+10%	Upper single digits
Expense growth	+8%	Mid-to-upper single digits
Capital (CET1 ratio)	13,3%	Above the group's TTC target range (11% to 12%)
Dividend	57% payout	Top end of payout ratio ie around 57% (low end of dividend cover of 1,75x – 2,25x)

¹This guidance is not a profit forecast, has not been reviewed or reported on by the group's joint auditors & is based on the group's economic forecasts at the time.



Updated guidance for 2025 & beyond

	DHEPS growth	ROE	Cost-to-income ratio	Net Promoter Score
2025 (medium-term targets set in 2023)	> CPI + GDP + 5% (CAGR to end-2025)	17% (COE + 2%)	52%	#1 bank
Updated 2025 guidance ¹ →	> Mid-single digits (for FY 2025)	>16%	Increase yoy	#1 bank
Medium term ¹	> CPI + GDP + 3% (CAGR)	>17%	54%	#1 bank
Long term (not dated, 5+ years)	> CPI + GDP + 5% (CAGR through the cycle)	>18% (COE + 3%)	< 50%	#1 bank

¹This guidance is not a profit forecast, has not been reviewed or reported on by the group's joint auditors & is based on the group's economic forecasts at the time. Guidance & targets exclude any potential impact from M&A-related corporate action.



▶ Thank you



Disclaimer

Nedbank Group has acted in good faith and has made every reasonable effort to ensure the accuracy and completeness of the information contained in this document, including all information that may be defined as 'forward-looking statements' within the meaning of United States securities legislation.

Forward-looking statements may be identified by words such as 'believe', 'anticipate', 'expect', 'plan', 'estimate', 'intend', 'project', 'target', 'predict' and 'hope'.

Forward-looking statements are not statements of fact, but statements by the management of Nedbank Group based on its current estimates, projections, expectations, beliefs and assumptions regarding the group's future performance.

No assurance can be given that forward-looking statements are correct and undue reliance should not be placed on such statements.

The risks and uncertainties inherent in the forward-looking statements contained in this document include, but are not limited to: changes to IFRS and the interpretations, applications and practices subject thereto as they apply to past, present and future periods; domestic and international business and market conditions, such as exchange rate and interest rate movements; changes in the domestic and international regulatory and legislative environments; changes to domestic and international operational, social, economic and political risks; and the effects of both current and future litigation.

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